Consulere - The Consulting Club of IIM Raipur

presents

Consulting Casebook

2023-24

Issues and copyright

Published 2023 by Consulere, Consulting Club, IIM Raipur

Copyright © 2023, Consulere, IIM Raipur

All rights reserved. No part of this casebook may be reproduced or utilized in any form or by any electronic, mechanical, or other means, now known or hereafter invented, including in any information storage or retrieval system, without prior permission in writing from the publishers.

To the fullest extent of the law, neither the Publisher nor the authors, contributors, or editors, assume any liability for any injury and/or damage to persons or property as a matter of products liability, negligence or otherwise, or from any use or operation of any methods, products, instructions, or ideas contained in the material herein.

Edition	Date Of Release
First Edition	October 2023

Santanu Bhadra
Faculty Coordinator

Mohammed Shakeer
Coordinator

Introducing the Consulting Casebook

Consulere, the Consulting Club at IIM Raipur, is proud to present the first edition of the Consulting Case Book, a comprehensive resource to ace interviews.

The IIMR Case Book is a repository aimed at bolstering your interview preparation with the help of frameworks, guesstimates, market analysis and sample case interview transcripts. It is designed to help you strengthen your interview preparation and increase your chances at success. The casebook has undergone multiple quality checks, including a plagiarism check from our library turnitin database, in order to ensure that its content meets high standards of quality for the readers.

We are committed to making the Case Book accessible to everyone, regardless of their background or experience and thus, the casebook remains available in the public domain.

We hope that this resource will help you achieve your career goals in any field.

We wish you all the best in your future endeavors!

Santanu Bhadra
Faculty Coordinator

Mohammed Shakeer
Coordinator

Acknowledgement

We would like to express our sincere gratitude to Prof. Ram Kumar Kakani, Director of IIM Raipur, for his invaluable support and guidance throughout our endeavors. We are also grateful to Prof. Santanu Bhadra, faculty coordinator, for his continuous support and feedback.

We would also like to thank the Senior Executive Members of Team Consulere, Mohammed Shakeer (Coordinator), Shreya Nama (Co-coordinator), Shubham Gupta (Co-coordinator), Sarthak Singhal, Kriti Dhalla, and Riddhi Gourisaria, for their guidance and efforts in making the casebook a success. The casebook would not be what it is today without their guidance and hard work.

Table of Contents

FRAMEWORKS	
S. No.	**Title**
1	SWOT Analysis
2	BCG Matrix
3	Ansoff Matrix
4	PESTEL
5	Marketing Mix [4P(s) and 7P(s)]
6	5C Analysis
7	Porter's Five Forces
8	Profitability Framework
9	Value Chain Analysis (Cost Side)
10	Market Entry
11	Pricing
12	M&A
CASE INTERVIEW TRANSCRIPT	
13	Introduction to case interviews
PROFITABILITY	
14	Coffee Manufacturer
15	Food Chain Restaurant
16	Personal Care Goods Manufacturer
COST REDUCTION	
17	Airlines
18	E-Commerce
19	Newspapers
MARKET ENTRY	
20	Shoe Manufacturer
21	Restaurant
22	Car Manufacturer
23	Cigarette Manufacturer
24	Insurance Company
GROWTH STRATEGY	
27	Cafe Chain
28	Online Shopping Beauty Store
29	Health Insurance Company
PRICING	
30	Electronic Goods Company

(continued..)

Table of Contents

31	Automobile Company
32	Mobile Phone Company
MERGERS AND ACQUISITIONS	
33	4 wheeler company
34	Semiconductors
35	Telecom
UNCONVENTIONAL	
36	Amusement Park
37	Digital Transactions
GUESSTIMATES	
38	Introduction
39	Guesstimate-1
40	Guesstimate-2
41	Guesstimate-3
42	Guesstimate-4
43	Guesstimate-5
44	Guesstimate-6
45	Guesstimate-7
46	Guesstimate-8
47	Guesstimate-9
48	Guesstimate-10
49	Guesstimate-11
50	Guesstimate-12
51	Guesstimate-13
52	Guesstimate-14
53	Guesstimate-15
STRENGTHENING YOUR TOOLKIT	
54	Datasheets
INDUSTRY OVERVIEW	
55	FMCG
56	Real Estate
57	IT & BPM
58	BFSI
59	Healthcare
60	Telecom
61	Manufacturing

FRAMEWORKS

SWOT Analysis

SWOT analysis is a strategic planning technique that you can use to identify a company's strengths, weaknesses, opportunities and threats. It helps you assess internal factors that might affect the business (strengths and weaknesses) and external factors (opportunities and threats).

INTERNAL

EXTERNAL

STRENGTHS

- Production Quality
- Technological Skills
- Loyalty/Relationship
- Scale of Operation
- Distribution Channel

WEAKNESS

- Changing Customer Preferences
- Globalized Economy
- Favorable Regulatory Policies
- Low Tax Regimes

SWOT

OPPORTUNITIES

- Unreliable Production
- Sub-Optimal Scale of Operation
- Poor Access to Distribution
- Weak Brand

THREATS

- Shifting Customer tastes
- Restricted Geographical Access
- Obsolescence
- Adverse Regulatory Changes

BCG Matrix

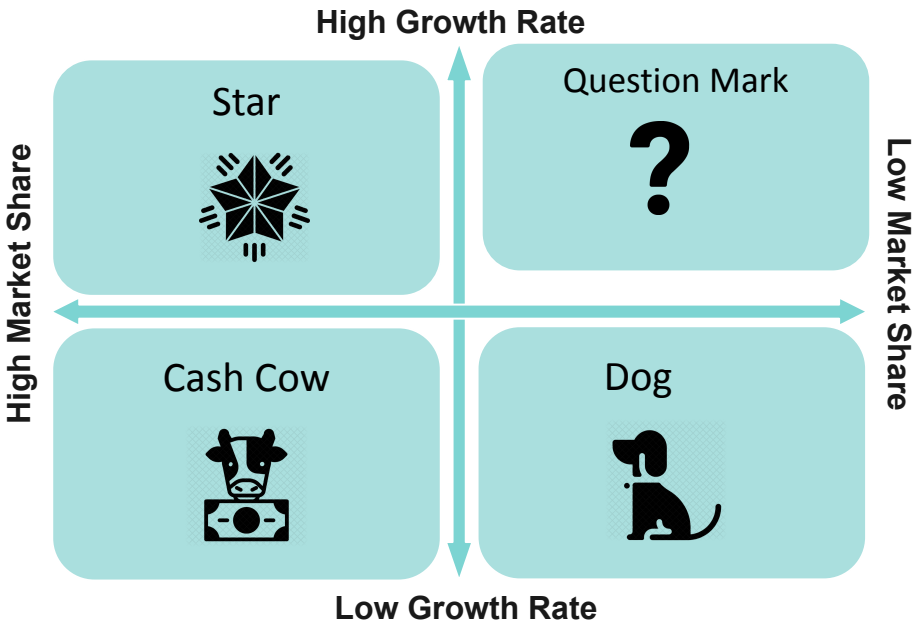
The BCG Matrix, also known as the Boston Consulting Group Matrix, is a strategic management tool used by businesses to analyze and categorize their product or service portfolio based on their market share and market growth rate.The horizontal axis represents the amount of market share of a product and its strength in the particular market. By using relative market share, it helps measure a company's competitiveness.The vertical axis represents the growth rate of a product and its potential to grow in a particular market.

Products or services with high market share and high market growth rate.Growth engines of a company and typically require significant investment to maintain their position and support further growth

Have low market share but a high market growth rate. Opportunities with potential for growth, but require significant investment to increase their market share and become stars.

Have high market share but a low market growth rate. Established and profitable offerings that generate a steady stream of income with minimal investment required.

Have low market share and low market growth rate. Do not generate much profit and may even operate at a loss.



Ansoff Matrix

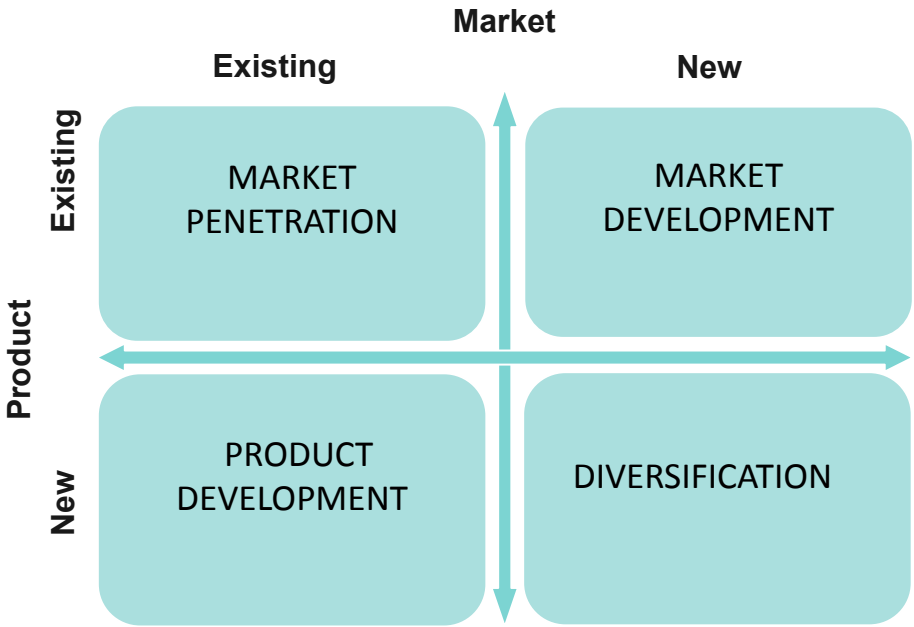
The Ansoff Matrix, also known as the Product-Market Expansion Grid, is a strategic framework used by businesses to plan and analyze their growth strategies.Focuses on two specific areas for potential growth: Products, Market Within each of these areas, business owners are encouraged to expand their existing activities as well as the exploration of new products and markets.

Market Penetration: This strategy involves selling more of the company's existing products or services in its current markets. The focus is on increasing market share, attracting more customers, and possibly increasing sales through marketing and sales efforts.

Market Development: Market development entails taking existing products or services and entering new markets or customer segments. This might involve expanding geographically, targeting different demographics, or finding new distribution channels. The aim is to reach new customers while using the company's existing products or services.

Product Development: In this strategy, the company seeks to introduce new products or services to its existing markets.The goal is to expand the product/service portfolio and capture more market share from existing customers.

Diversification: Diversification is the most ambitious and risky strategy. It involves introducing new products or services to entirely new markets or customer segments.Diversification carries higher risks but can offer opportunities for significant growth and reduced dependency on a single market or product.



PESTEL

The PESTEL analysis helps analyze and monitor the macro environment factors that have an impact on organization. It examines the Political, Economic, Social, Technological, Environmental, and Legal factors in the external environment. It helps identify opportunities and threats in the external environment, make informed strategic decisions, develop contingency plans, stay ahead of the competition and improve performance.

P POLITICAL	E ECONOMIC	S SOCIAL	T TECHNOLOGICAL	E ENVIRONMENTAL	L LEGAL
Government action, leadership foreign policy, tax policy, regulations, trade regulations, corruption	Inflation, interest rates, foreign exchange rates, unemployment, economic growth	Demographic, culture, lifestyle trends, religious trends, consumer behaviour and attitudes	Automation, Research and development, adoption level, emerging technologies	Pollution targets, raw materials scarcity and risks, carbon footprint targets, government regulations	Intellectual property, advertising & industry regulations, antitrust laws

MARKETING MIX (4P'S AND 7P'S)

Used for identifying the differentiating factor between the firm and the industry and root cause analyses for any problem.

Product : Various attributes of the product: Differentiating factors; Value Proposition

Place : Different distribution channels used by the firm (retail, wholesale, online etc.); Supply chain; Network optimization

Promotion : Marketing message of the client; Promotion channels, Recent Marketing Campaigns Run

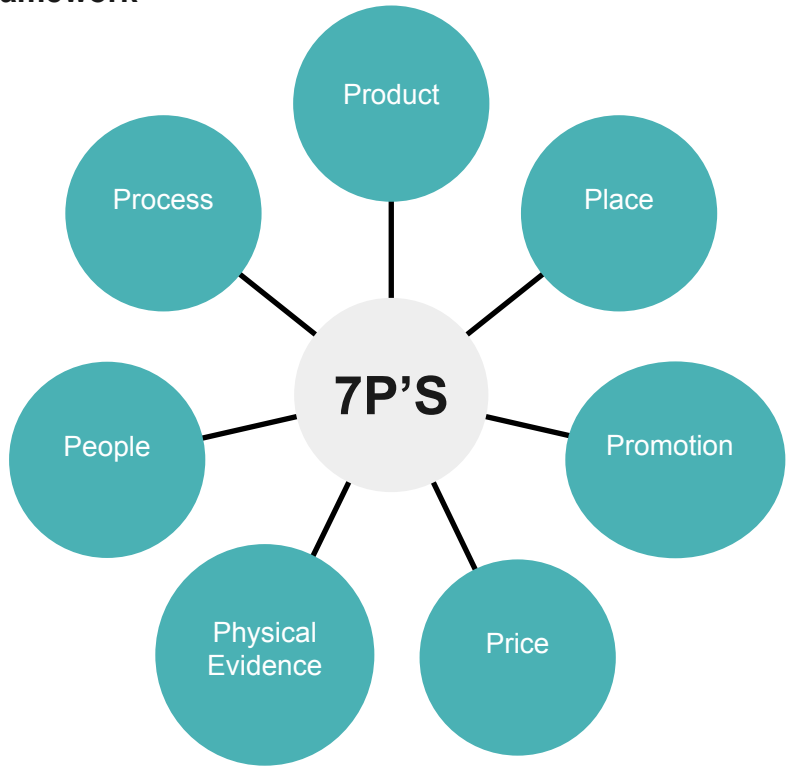
Price : Price of client's product; Price Elasticity of the product; Willingness to Pay; Competitor Pricing

Physical Evidence : Sales of the product/Contacting Customers; Product Packaging: Online experience

People : Who are the people from the client's side delivering services? How trained are they?

Process : The systems and processes that deliver a product or a service to the customer, Quality Assurance; Value-Chain analysis.

Framework



5C Analysis : Marketing Strategy

The 5C Analysis approach is widely recognised and very valuable in comprehending both internal and external settings. The extension being referred to is an expansion of the 3C Analysis framework, which initially included the examination of Company, Customers, and Competitors. Subsequently, the study was augmented by including collaborators and climate factors to ensure its comprehensiveness.

Framework

COMPANY	Analysis of a firm involves looking at its goals, plans, capabilities, product offerings, technological infrastructure, and company culture. Understanding the company's business difficulties is essential to resolving such problems.
CUSTOMER	Understanding your market requires familiarity with such factors as market size and growth, consumer behaviour, purchasing habits, average purchase size, frequency of purchases, and preferred retail channels.
COMPETITOR	To fully understand the external environment in which a company works, an examination of the competitive landscape is essential. Competitor analysis comprises understanding the strengths, weaknesses, and forthcoming efforts of the rivals.
COLLABORATOR	Common types of collaborators include agencies, suppliers, distributors, and business associates. It is essential to comprehend their capabilities, performances, and issues in order to identify business problems more effectively.
CONTEXT	Climate analysis refers to the systematic assessment of the macro-environmental conditions that have an influence on a firm. The PESTEL framework is a valuable tool for doing an examination of the climate.

Porter’s Five Forces

Porter’s Five force is framework for analyzing company’s competitive environment.It is model that analyzes five competitive forces that shapes every industry and help determine industry’s strengths and weakness.It can be used to guide business strategy to increase competitive advantage of the company.
.

THREAT OF NEW ENTRANTS	Assess how difficult it is for new competitor to enter the market. Industry with strong barriers to entry is ideal for existing companies within that industry since the company would be able to negotiate better.
BARGAINING POWER OF SUPPLIERS	Evaluates influence of supplier power. Affected by the number of suppliers of key inputs of a good or service, how unique these inputs are, and how much it would cost a company to switch to another supplier.
BARGAINING POWER OF BUYERS	Measures the strength of buyer in terms of pricing and supply.Affected by how many buyers or customers a company has, how significant each customer is, and how much it would cost a company to find new customers or markets for its output.
THREAT OF SUBSTITUTE PRODUCTS	Analyzes availability of alternative products and services that could replace current offerings. Companies that produce goods or services for which there are no close substitutes will have more power to increase prices and lock in favorable terms.
COMPETITIVE RIVALRY	Refers to the number of competitors and their ability to undercut a company. The larger the number of competitors, along with the number of equivalent products and services they offer, the lesser the power of a company.

Profitability Framework

Profitability framework required analysis of the revenue and cost side side of the company to further understand the increase/decrease in profitability and identify possible solutions for the client.

Questions to ask

What are the specific products to which the company caters?

Understand if it is a industry wide issue or is it specific to the client.

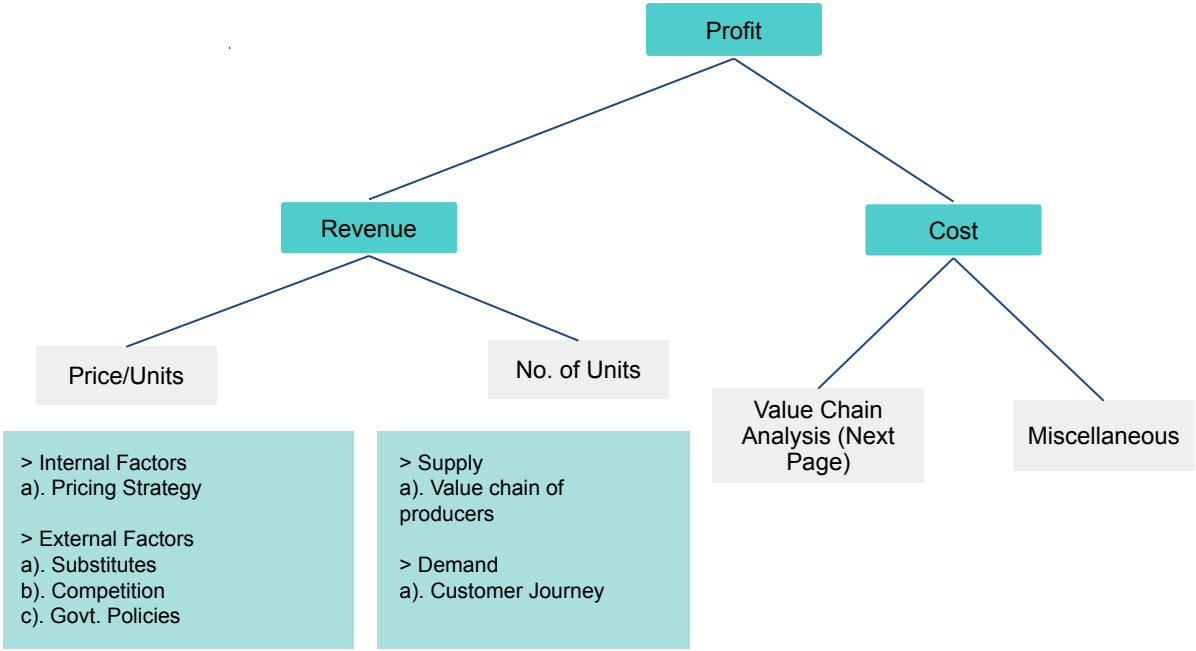
What is the customer segmentation to which the company caters?

How to Do Analysis

Gather data and information relevant to each aspect of the framework.

Use analytical tools and models to assess revenue and cost functions of the company.

While analysis keep in mind the quantum of profit and the time period.



Profitability Framework- Value Chain Analysis (Cost side)

Research and Development

> Equipment
> Human capital
> Financing
> Patents
> Technology

Raw material procurement

> Cost of raw materials
> Contracts
> Suppliers
> Transportation costs

Production

> Machinery
> Rent
> Labour
> Technology
> Efficiency

Storage and Transportation

> Transportation to warehouses
> Transportation to customers
> Storage facility costs

Distribution

> Sales channels
> Sales force

Marketing

> Channels
> Conversion rates/ channel
> Spend on channels (physical/digital)

After- Sales support

> Repairs
> Returns
> Spare parts

Market Entry Framework

A market entry case—whether it involves the launch of a new product, expansion into a new region, or both—rests on the answers to two fundamental questions: Is it worthwhile to enter the market (economically and strategically) and, if so, what would be the best approach to do so?

Questions to ask

- What are the specific market characteristics and challenges in the target market?
- What resources and capabilities does the company possess for market entry?
- Are there any regulatory or legal constraints in the target market?
- What is the company's long-term vision for market expansion?

How to Do Analysis

- Gather data and information relevant to each aspect of the framework.
- Use analytical tools and models to assess market attractiveness and financial viability.
- Compare and contrast entry options to identify the most suitable one.

Approach

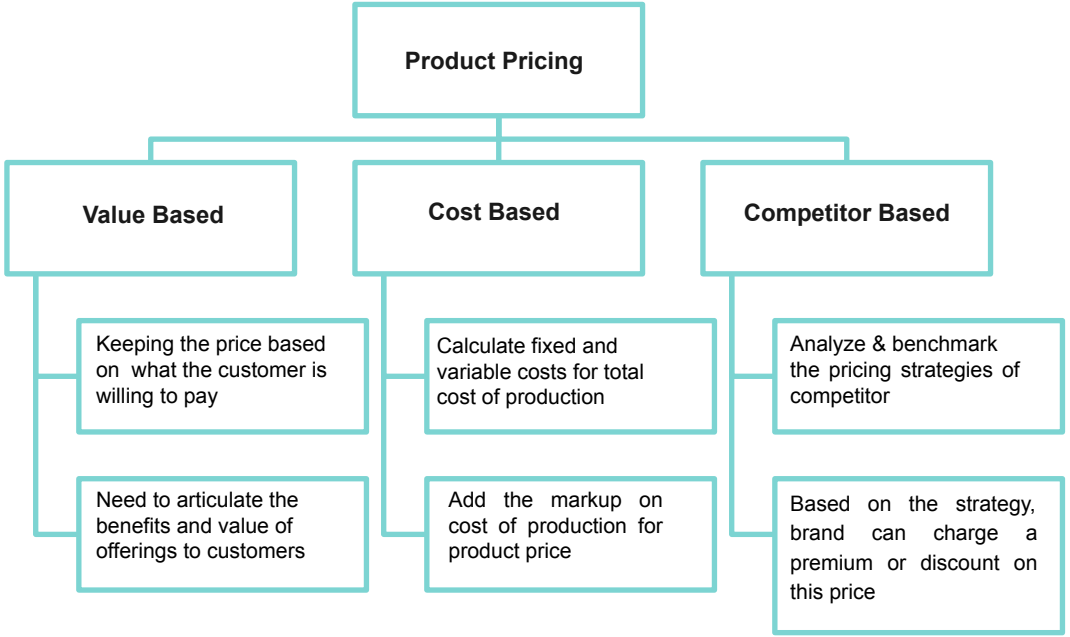
New Market Entry	Company	Customer	Product	Competition	Entering Strategy	
Visions	Offerings	Segments	Customer Expectations	Competition Analysis	If yes, how?	No
Goals	Resources	Needs	Available Products	SWOT Analysis	Start for scratch	
Objectives	Strengths & Strategic Assets	Profiling		Entry/Exit Barriers	Joint Venture	
	Markets Share	Size & Growth		Market Share Estimation	Acquisition	

Consider potential risks and develop contingency plans.

Ensure that the chosen entry strategy aligns with the company's overall business objectives.

Pricing Framework

The objective of a pricing framework is to systematically determine prices for products by considering factors like the product's nature, company goals, market conditions, and customer perceptions. This approach applies to both new and existing products, ensuring profitability and strategic alignment.



M&A

M&A cases are all about making choices about a possible merger or acquisition. You need to understand the synergies, do a cost-benefit analysis and your due research, and then make a recommendation about whether or not to take the chance.

.

Start by setting up the contexts	Company business? Current Performance? Target Company ? Past M&A history in similar space ? Industry Trend .
Reason for Deal	What is the objective?, What is the Target?, Exploration of novel markets and channels, Cost reduction
Advantage to the Business	What are the potential synergies in the field of business?cope of market penetration (for both new and existing markets), Competition, Portfolio Expansion
Price of Deal and Potential Risk	Valuation and affordability, Post M&A expenses, Cultural Aspects, Macroeconomic risks, Due diligence and legal risks

CASE INTERVIEWS

Introduction

CONSULERE
The Consulting Club
IIM Raipur

What is a case interview?

Candidates typically tested on the following two broad parameters:

- Personality/behavioural domains (through HRQ)
- Problem solving (through cases and/or guesstimates) in a strategic manner

Case interviews are essentially a simulated opportunity for candidates to demonstrate their ability to think on their feet and work effectively under pressure in response to the presented business problem.

How to approach?

> Ask clarifying questions to the interviewer to ensure that you have a clear understanding of the objectives, constraints, and key stakeholders.

> Structure your thinking and develop a framework

> Analyze the data to develop potential solutions

> Devise your recommendations and communicate them to the interviewer.

Methodology for Business Case Interviews

UNDERSTAND AND CLARIFY THE PROBLEM STATEMENT

COLLATE, STRUCTURE AND IDENTIFY THE ROOT CAUSE

FOLLOW MECE APPROACH (Mutually Exclusive collectively Exhaustive)

DEVELOP A SOLUTION

COMMUNICATE THE RECOMMENDATIONS

PROFITABILITY

Coffee Manufacturer

FMCG | Easy

Problem Statement: Our client is an Espresso manufacturer that has seen an increase in its revenue but a declining rate in its profit margin. Could you help the client in identifying the cause behind the decline and suggest solutions.

Interviewee: For more clarity can you confirm what is its quality and what does it do with the espresso it manufacturers, does it sell directly to customers or to businesses?

Interviewer: Yes, so our client is an espresso liquid manufacturer. They are into the business of selling 30 ml packets of espresso shots pre-packaged that can be sold into supermarkets. Does it give you a fair picture of the client?

Interviewee: Yes, it does. My next question is: are we targeting a particular segment of customers? It could be the rich folks or more well-off people.

Interviewer: They are currently targeting high value customers since espresso pre-packaged is more of a novelty product and is more in demand in the higher-paying capacity segment.

Interviewee: Could you tell me more about the competition this product faces?

Interviewer: They don't have any competitors, and their revenues have been steady as well. Largely, the competitors are coffee stores such as Starbucks or others that offer espresso beverages.

Interviewee: Thanks. I would like to breakdown profitability into two parts revenue and cost. Since earlier you mentioned that revenues have been steady, I'm assuming that is not a problem area for the client. So I would like to get into the cost side of it and breakdown the costs into the production value chain. Starting with R&D, Production Process, Packaging and then, Shipping.

Interviewer: That would be great, go ahead.

Interviewee: Since the issue has started just a couple of months ago, has there been any change in any of the cost heads I mentioned?

Interviewer: You may want to investigate the Production Process for our client.

Interviewee: Sure. The production process can be broken down into People, Process and Machine. Have we made any changes in either of these which might have resulted in increased costs for our client?

Interviewer: A couple of months ago, a new machine was imported from Netherlands, however, that machine per se hasn't increased the costs. Instead, it increased the automation in the process.

(continued..)

Coffee Manufacturer

FMCG | Easy

Interviewee: Right, since the new machine was imported but that did not result in increase in costs. Is it possible, that the people require some special training which might be leading to an extra cost.

Interviewer: That is correct, the training on the new machine is costlier, however, that is not the only reason. Think about what kind of people would be employed in a plant of this sort.

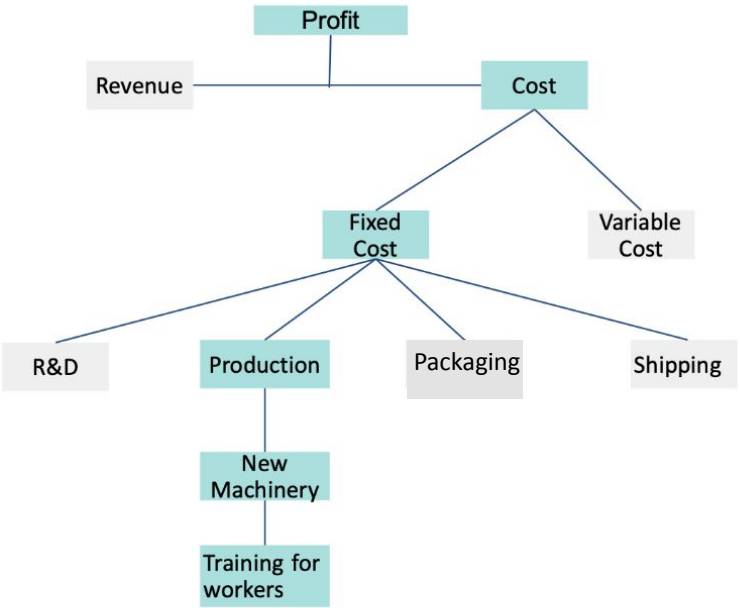
Interviewee: Sure, because the plant is an espresso manufacturer, and it is mainly machine driven, the people required would not be very skilled, they might be there in the plant for a short-term if their wages are not met and might leave if they get a better opportunity. Is that something I should think about.

Interviewer: That is exactly the reason, after the automation, the client has seen an increase in the attrition rate. Can you think about some solutions for the client?

Interviewee: I can think of two things that we can do to control the costs. First, increase the salaries to a competitive level since there is not much competition and high paying customers, which might mean we will be incurring higher costs on people, but it would more than offset the increase in cost because of attrition. Second, we can also look to have video material to train the employees on the machine, saving work-hours of other people.

who are involved in the training. Does that seem like fair recommendations?

Interviewer: Yes, they do. We can close the case here.



Food Chain Restaurant

Food Industry | Medium

Problem Statement: Our client is a restaurant facing a decline in its profits. You have been approached to identify the cause.

Interviewee: I would like to start with few questions. Is the client situated with many competitors in the same area and are they also facing the same issue and is it dine-in only or take away as well?

Interviewer: Yes, there are many restaurants in that same area but the problem is specific to our client. The restaurant is a dine-in and take away.

Interviewee: Alright. Is there a decline in the revenue for both the segments and has the revenue decline or increase in costs which is leading to decline in profits?

Interviewer: The profits have declined only for the dine-in segment and it's a combination of both.

Interviewee: Alright. I will first start with breaking down the revenue side of the profits. The revenue is basically a product of number of customers and the order size for both the dine in and take away segment.

Interviewer: Please focus on the number of customers.

Interviewee: So there is a decline in number of customers. This can be due to the following reasons: food quality, service quality, price, ambience, types of cuisine, etc. Would you like me to further drill down the revenue side or is there any specific area where you would like me to focus on.

Interviewer: Please focus on the service quality.

Interviewee: Alright, this can be due to the following reasons: delay in order delivery, vacancy issues, staff service issue, cleanliness, number of tables in the restaurant, accessibility of the restaurant etc. Where would you like me to focus?

Interviewer: Please focus on order delivery time and the vacancy issues which might be due to the number of tables in the restaurant.

Interviewee: The delay in food delivery can be caused due to the understaffing of chef's and/or waiters and due to the type of cuisine ordered. The vacancy issue might be because of lesser number of tables or in the table sizes in the restaurant which cater to different types of customers like families, couples, friends etc.

Interviewer: That would be right!. Please focus on cost now.

(continued..)

Food Chain Restaurant

Food Industry | Medium

Interviewee: I will now breakdown the cost analysis which would be: raw material procurement cost, supplier, storage, transportation, rent etc.

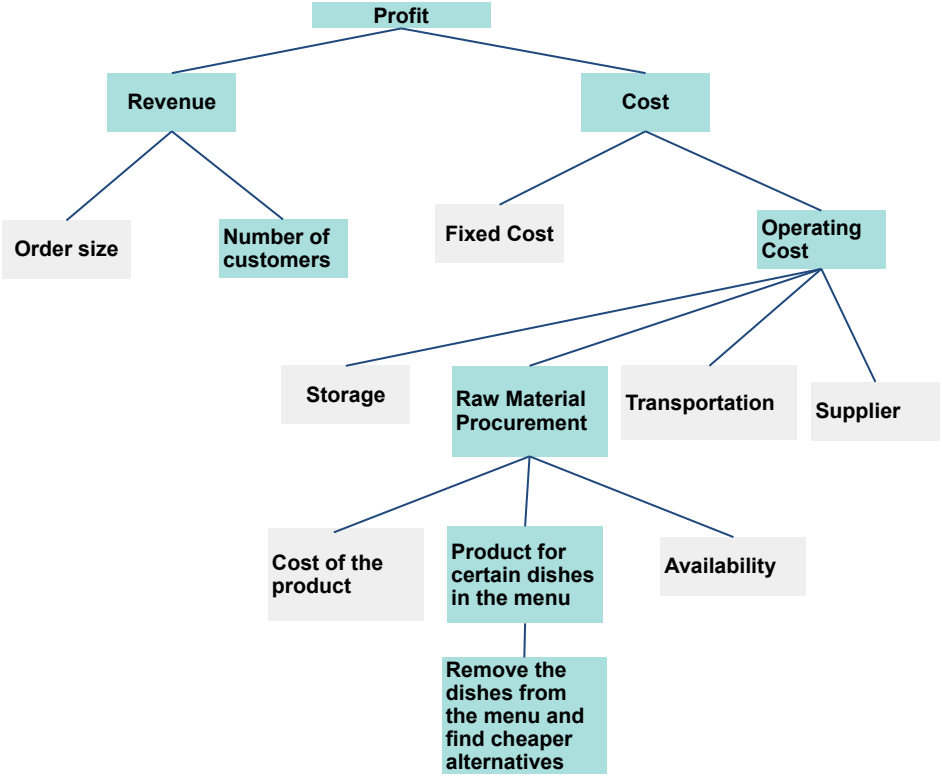
Interviewer: Please focus on raw material procurement costs..

Interviewee: The raw material procurement cost would be increasing because of either of the below reasons: type of the product, cost, availability of the product, supplier, products required for certain dishes in the menu etc.

Interviewer: The issue is with the type of certain products required for certain dishes in the menu. Please suggest changes as well.

Interviewee: The type of raw material procured cost would be high because of some different types of products used in certain dishes which are there in the menu have to be kept and the order size of that product might be less or the frequency of the number of orders for that product would be less.
The restaurant can remove those dishes from their menu if the frequency of the orders for them is less than the other. They can find a cheaper alternative for the product which is also in demand by their customer segments.

Interviewer: Thank you for your suggestions. We can close the case..



Personal Care Goods Manufacturer

Personal Care Industry | Hard

Problem Statement: Our client is a body mist manufacturing company and their profits have been declining over the past few years. Could you please suggest some recommendations.

Interviewee: I would like to start with some clarifying questions. Does the client operate in a particular product or are there some variants? Is the problem industry wide or specific to our client?

Interviewer: There are two product categories: gasless and ordinary. The issue is specific to our client.

Interviewee: Alright. Profit being a function of cost and revenue, could you please confirm which of these have been an issue?

Interviewer: Even though our costs have reduced still we are facing a decline in our revenues even if our prices have not increased. Please focus on that.

Interviewee: Revenue can be impacted by few factors like: if there is decline in demand or if there is any problem with supply side.

Interviewer: Yes, there has been a decrease in the quantity demanded.

Interviewee: I will now delve deeper into this issue. The quantity demanded is a function of No. of customer*Deodorants purchased per customer. The decline in deodorants purchased per customer would be because of the customer experience or if there is any change in the product since there is no increase in the price. Would you please let me know if there are any changes relating to the product?

Interviewer: We have recently changed our vendor for the nozzle spray in the mist bottle which now sprays a lesser quantity per spray and for the base composition mix of the mist.

Interviewee: I am assuming that the costs must have declined by this. The customers must be facing issue with the quantity of spray or the last of the mist due to the changes mentioned by you. Could you please confirm if this is the case?

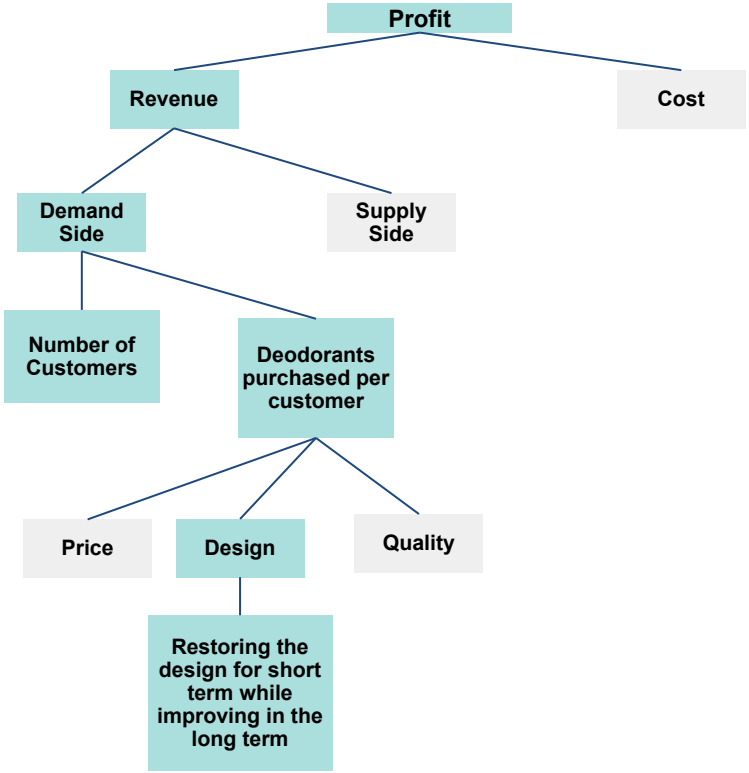
Interviewer: You have identified this correctly. What would you suggest for this?

(continued..)

Personal Care Goods Manufacturer

Interviewee: I'd like to break-down my recommendations into 2 parts – Long-term and short-term. For the short-term, I'd suggest getting back the old nozzle because the purpose of cost reduction got defeated by revenue reduction. For the long-term, we can either play on how the new nozzle enhances current product offering and improving the composition mix of the product

Interviewer: Thank you for your suggestions. We can close the case here.



COST REDUCTION

Airlines

Aviation | Hard

Problem Statement: Our client is a well-established airline company experiencing a decline in profitability over the past couple of years. They are looking to optimize their costs by 10% within the next 2 years.

Interviewee: If I understand the problem correctly, we have to identify the reasons for the declining profitability for the airline company and suggest strategies to achieve a 10% cost reduction within the given timeframe. To start, could you provide me with more details about the airline industry's current landscape and our client's position within it?

Interviewer: Of course. The airline industry is known for its competitiveness, with multiple players serving both domestic and international routes. The industry has been growing steadily at around 10% per year. Our client is one of the major airlines, operating a diverse fleet of aircraft and serving a mix of business and leisure travelers. Their market share growth aligns with the industry's growth rate

Interviewee: Thank you for the overview. Now, regarding our client, could you share more details about their profitability decline? Is this issue unique to them, or are competitors experiencing similar challenges?

Interviewer: Our client's profitability decline is a concern. However, it's not an industry-wide issue. Reliable estimates suggest that most competitors have either maintained profitability levels or even increased them.

Interviewee: That's insightful. To address this profitability challenge, should we focus on increasing revenue or reducing costs?

Interviewer: Given the competitiveness of the airline industry and our client's aim for cost optimization, it would be wise to prioritize cost reduction.

Interviewee: Understood. Now, let's break down the airline's cost structure. We can categorize costs into various areas such as fuel expenses, labor costs, maintenance and operations, marketing, and overhead costs. Which of these areas would you like to delve into first?

Interviewer: Let's start with fuel expenses. Fuel costs are indeed a significant component for airlines. Please proceed to explore if there have been any unusual spikes in fuel prices recently or if there have been inefficiencies in fuel management.

Interviewee: Thank you. I'll look into fuel expenses. Moving on, I'd like to explore labor costs. Airlines typically have substantial labor expenses. Can you provide insights into the size of our client's workforce, their pay structure, and any recent changes in staffing?

Interviewer: Certainly. Our client has a sizable workforce, including flight crews, ground staff, and administrative personnel. Their pay structure is competitive with industry standards, and there haven't been significant staffing changes. You can proceed with your analysis.

(continued..)

Airlines

Interviewee: Understood. Next, let's examine maintenance and operations costs. This includes aircraft maintenance, hangar fees, and day-to-day operational expenses. Do we have data on any maintenance cost increases or operational inefficiencies?

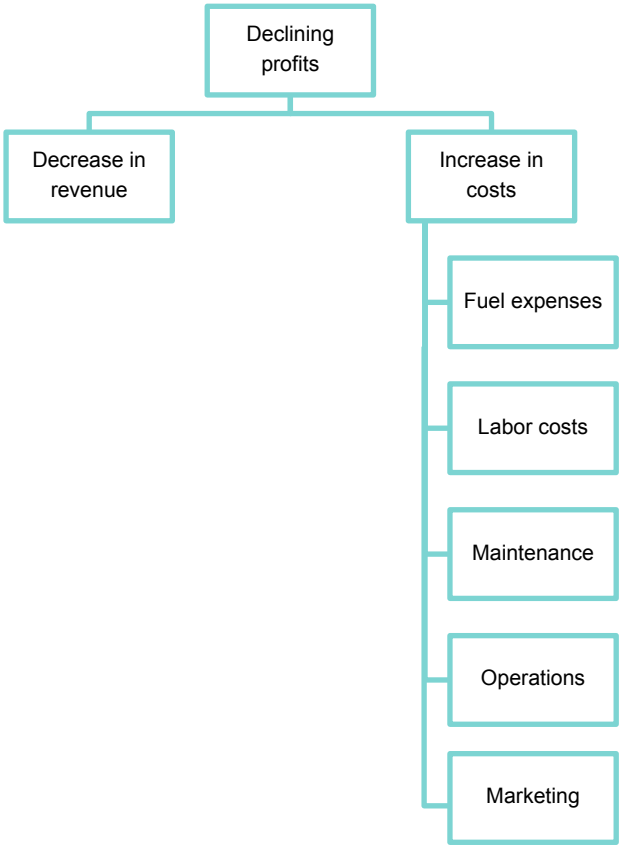
Interviewer: Our client has seen a gradual increase in maintenance costs but nothing alarming. There haven't been any major operational inefficiencies.

Interviewee: Thank you. I'd like to explore marketing expenses next. Airlines invest in marketing to attract passengers. Can you provide insights into our client's marketing strategies and budgets?

Interviewer: Certainly. Our client has been investing in marketing campaigns and promotions to attract passengers, but there's been no significant change in marketing budgets.

Interviewee: Great. Lastly, let's discuss overhead costs. This includes administrative expenses, office space, and IT infrastructure. Have there been any substantial changes in these areas that could impact costs?

Interviewer: Our client's overhead costs have remained relatively stable, with no significant changes. Feel free to proceed with your analysis or recommendations.



(continued..)

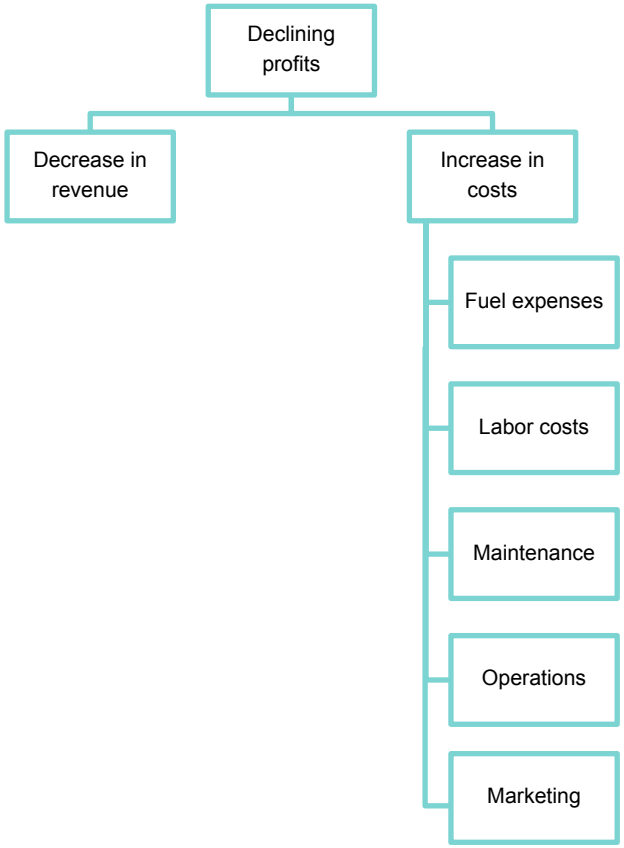
Airlines

Interviewee: Thank you for the insights. Based on the information, I would recommend the following areas for cost optimization:

> Fuel Efficiency: Our client can explore more fuel-efficient aircraft options, invest in winglet technology, and implement better fuel management practices to reduce fuel expenses.
> Workforce Productivity: While maintaining a competitive pay structure, they can focus on optimizing staffing levels, cross-training employees, and implementing performance-based incentives to enhance workforce productivity.
> Maintenance Cost Analysis: Conduct a detailed analysis of maintenance expenses to identify cost-saving opportunities, such as optimizing maintenance schedules and exploring maintenance partnerships.
> Operational Efficiency: Implement data-driven operational improvements, including flight scheduling optimization, route planning, and fleet utilization, to reduce operational costs.

Interviewer: Great, a combination of strategic initiatives in these areas can help our client enhance profitability while maintaining their competitive position in the airline industry. Good work!

Interviewee: Thank You!



E-Commerce

Retail | Easy

Problem statement: Our e-commerce client is grappling with escalating operational costs. You must examine why this is occurring ?

Interviewee: I want to start by getting to know a bit more about our client. Where does our client operate? What kind of products does our client's e-commerce platform sell?

Interviewer: Our client operates in Indian market. It's a platform where people can buy any product from FMCG.

Interviewee: Got it. When did we start having this issue? What is the magnitude of the increase? Has this problem been experienced by players in the industry?

Interviewer: Costs increased by 20% in the last 3 months. No, other competitors in this industry are not experiencing this issue

Interviewee: By identifying the various elements of the e-commerce platform's cost structure, we can analyse costs. I feel, they consist of the following: Inventory acquisition, Inventory management, Marketing & Sales, Delivery, Licences, R & D, Web/App Development & Maintenance, On-boarding Brands & Individual Sellers. Do we have any further data on which of these costs have increased in the recent past?

Interviewer: Inventory management cost has risen the most

Interviewee: Do we store our products in warehouses across the country?

Interviewer: Yes, we have rented out Warehouses

Interviewee: Do we know if the cost increase is the same in all the areas and product lines?

Interviewer: The increase in cost is same across all the areas. Few product lines are more affected.

Interviewee: Got it, then the Inventory costs would majorly include –

1) Warehouse rents
2) Labour wages
3) Maintenance costs

And the inventory losses include:
1) Thefts
2) Spoilage: The method of inventory management followed like FIFO or LIFO methods. It is also possible that the warehouse conditions are not optimum for the storage of inventory and leading to spoilage.
3) Improper maintenance

Interviewer: Precisely. We've successfully identified a comprehensive list of potential problems to explore.

Newspapers

Problem statement: Our Client is a renowned newspaper magnate, facing problem in their cost structure. Please help them analyze the list of reasons..

Interviewee: To start with I would like to know since when our client is facing this issue? What area does the problem pertain to?

Interviewer: Their performance is lagging behind the expected industry benchmarks. This issue has been ongoing for six months on a nationwide scale.

Interviewee: Could you please help me with more details of client as in what segments are they operating - daily newspapers, Journals, editorials, online news?

Interviewer: Company is operating in daily newspaper segment

Interviewee: Could you please advise which cost is deviating significantly from industry standards - Fixed cost or Variable cost?

Interviewer: We have an issue with the variable cost

Interviewee: So if i breakdown the variable costs into the Value chain, we have the following components:

- Procurement of Raw material – sheets
- Content
- Processing and Printing
- Packaging
- Distribution

Can you please clarify which of these areas are resulting in higher costs?

Interviewer: The distribution costs have increased.

Interviewee: May i ask which type of distribution model is the client following?

Interviewer: They utilize agents for door-to-door sales and vendors in shops for distributing their newspapers. The expenses on these agents have increased.

Interviewee:I think the cost associated with agents is influenced by two factors: the quantity of agents and the cost per individual agent. Do we have information on which of these factors has been the issue?

Interviewer: We have a high cost per individual agent.

Interviewer: Understood. The agents provide a consistent service in terms of newspaper delivery. Any variations might stem differences in the level of service expected from these agents or specific contract terms, such as lock-in periods.

(continued..)

Newspapers

Interviewer: Great! Could you provide an analysis of the service quality?

Interviewee: Certainly, I can outline the potential factors as follows:

- It's possible that we expect our agents to cover a broader geographic area compared to our competitors.
- We might have higher expectations for our agents to deliver newspapers earlier than our competitors.
- Our expectations for agents may include a preference for careful handling during delivery to maintain newspaper quality (e.g., avoiding rolling).
- We may also expect our agents to actively market and promote our newspapers.

Interviewer: Great, you have rightly given a comprehensive list of potential factors. We can close the case here.

MARKET ENTRY

Shoe Manufacturer

Shoes Industry | Easy

Problem Statement: An Italian based sport shoe manufacturing company wants to enter the Indian market. Should it pursue it? If yes, suggest a strategy.

Interviewee: The objective is to evaluate whether the company should enter the Indian market. Is there a decision criteria for minimum yearly revenue?

Interviewer: Yes, the minimum yearly revenue we're targeting is $500 Million for the first year.

Interviewee: Okay, is there any other country where the company is present having demographics similar to India? How is the company performing there?

Interviewer: We are present in 6 countries primarily in North America where the market share is 15% of the total sports shoe market of $40 billion but none of them is similar to India in terms of demographics.

Interviewee: I see. What is the customer segment that is being targeted?

Interviewer: We're targeting people of age 18-55 years old whether they are professional athletes or casual wearers.

Interviewee: Alight. I would now like to know about the products. What are the products being offered? Are there any differentiating features?

Interviewer: The products are sport shoes with minimalist sole and a wider toe box which makes it unique when compared to other brands in India in terms of health benefits by promoting natural feet movement.

Interviewee: This seems to be a new category which people can benefit from. How are the products positioned in the North American markets?

Interviewer: The products are mainly premium products, averaging a price of $180/pair which is going to be the same for India. These are viewed as a healthy choice for people who are aware of barefoot shoes.

Interviewee: This makes sense. What is the kind of anticipated competition in India?

Interviewer: There isn't any other brand present in India for this category of product. Therefore we hope to capitalize on the first mover advantage.

Interviewee: Has there been any research conducted for these products in India in terms of awareness and preferences?

Interviewer: Yes. As per our research in India, people in general are not aware of barefoot shoes. Currently only 1% of people are aware of barefoot shoes who can also consider purchasing these products.

Interviewee: Okay, for calculating the market size for this kind of product, I'm assuming the total population to be 1.4 billion out of which the upper middle /

(continued..)

upper class consists of 20% i.e. 280 million people who can afford the products offered. Assuming the average life expectancy to be 70 years and distribution for all ages is even, the targeted population for the age group 18-55 years old comes out to be 280 Million x (55-17) / 70 = 152 Million. Considering the preference to be 1% as per the research and assuming that each person will buy a maximum of one product in a year, the total market size calculated for the average price of $180/pair is $273 Million which is less than the target set to consider entering the Indian market for now.

Interviewer: Alright, the calculation and conclusion seems logical. Could you also comment on the market attractiveness?

Interviewee: Definitely. Let's consider microeconomic factors first. Currently, there is a lack of awareness among the consumers for these kinds of niche products. Though the company could capitalize on this situation by marketing the idea of these products and have a first mover advantage, there is a possible threat of established brands coming up with their own products similar to that of the client which could result in difficulties retaining the market share. Also, if people do not like the concept of this new category of shoes, they might resort back to their previous preferences. Regarding the macroeconomic factors, the economic condition of the nation's population will improve, resulting in more people moving into the upper middle class category. Hence we can expect the potential market size to increase in the future.

Interviewer: Great. That would be all.

(continued..)

Shoe Manufacturer

Shoes Industry | Easy

CONSULERE
The Consulting Club
IIM Raipur

Problem Identified

An Italian based sport shoe manufacturing company wants to enter the Indian market. Should it pursue it? If yes, suggest a strategy.

Calculations and Assumptions

Total Population = 1.4 Bil
Below Poverty Line = 20%
Lower Middle / Middle Class = 60%
Upper Middle / Upper Class = 20%
Target Income Group = 20% x 1.4 Bil = 280 Mil

Age
Average life expectancy of India = 70 years
Distribution is even for all ages
Targeted population = 280 Mil x (55-17) / 70 = 152 Mil

Preferences for offered product
Assuming a person will buy the product once a year
Potential Buyers = 152 Mil x 1% = 1.52 Mil

Market Size for offered product = 1.52 Mil x 180 = $273 Mil

Approach

- New Market Entry
  - Visions
  - Goals
  - Objectives
- Company
  - Offerings
  - Resources
  - Strengths & Strategic Assets
  - Markets Share
- Customer
  - Segments
  - Needs
  - Profiling
  - Size & Growth
- Product
  - Customer Expectations
  - Available Products
- Competition
  - Competition Analysis
  - SWOT Analysis
  - Entry/Exit Barriers
  - Market Share Estimation
- Entering Strategy
  - If yes, how?
    - Start for scratch
    - Joint Venture
    - Acquisition
  - No

Recommendations

The market size for the offered product as per the research and calculation is less than the target set by the client. Moreover, there is a lack of awareness among the consumers for these kinds of niche products. Though the company could capitalize on this situation by marketing the idea of these products and have a first mover advantage, there is a possible threat of established brands coming up with their own products similar to that of the client which could result in difficulties retaining the market share. Hence our client should not consider moving into the Indian sport shoe market for now.

Restaurant

Problem Statement: A Delhi based North Indian restaurant wants to start serving South Indian dishes. Evaluate its feasibility.

Interviewee: To begin, could you tell me more about your restaurant, its history, and its current offerings?

Interviewer: We've been running a successful North Indian restaurant in West Delhi for the past five years. We offer a variety of traditional North Indian dishes, and our restaurant is well-received by the local community.

Interviewee: Great. What objectives do you have in mind for considering the introduction of a South Indian food menu to your existing offerings?

Interviewer: Our primary objective is to attract a wider customer base and enhance our revenue by diversifying our menu and appealing to those who enjoy South Indian cuisine.

Interviewee: That makes sense. What is the average number of guests coming to your restaurant daily? Also what is your average monthly revenue?

Interviewer: We can assume that the average number of daily guests to be 200. The average revenue for our restaurant is Rs 30 Lakhs/month.

Interviewee: Great. Let's delve into the competitive landscape. Who are your main competitors in the North Indian cuisine segment, and have you observed any offering South Indian dishes?

Interviewer: We have a few local competitors, but none of them focus on South Indian cuisine. It's relatively unexplored in our immediate area.

Interviewee: Moving on to your customers, could you describe your typical clientele for your North Indian dishes? Are they mostly locals or tourists?

Interviewer: Our clientele primarily consists of local residents. The income group that we cater to are the upper middle class.

Interviewee: Now, regarding the potential South Indian menu, could you give me an idea of what specific dishes you're considering adding to your menu?

Interviewer: We're considering popular South Indian dishes like dosas, idlis, vadas, and various types of South Indian curries.

Interviewee: Excellent. let's calculate the market size. The population of Delhi is around 30 Million. Assuming the north, south, east, west central parts have the same population size and density, the population of west delhi would be 6 Million. The upper middle class population would be 20% of the population. Further assuming that 5% of west delhi's population is in the immediate area of the restaurant, who are the actual target population for the restaurant, we can estimate the number 20% x 5% x 6 Million or 60,000. Do you have an estimate of the percentage of people who might be interested in South Indian cuisine?

(continued..)

Interviewer: We estimate that around 30% of the local population might be interested in South Indian food.

Interviewee: Based on this, we can estimate that 30% x 60,000 or 18,000 local people are interested in South Indian food.

Interviewer: That sounds about right.

Interviewee: Now, let's determine market attractiveness. Given the absence of significant South Indian restaurants in your vicinity and the growing interest in diverse cuisines, I would consider this market quite attractive. Considering the average spending of Rs 500 per person, the market size is 18000 x 500 = Rs 90 Lakhs Currently there are 3,000 local people coming to the restaurant. Even if we consider that they all are interested in South Indian food, there is a potential of attracting 12,000 new customers. What are your thoughts?

Interviewer: I agree. It does seem like a promising opportunity. What do you suggest next?

Interviewee: Based on the market size and attractiveness we've discussed, I would recommend a phased market entry strategy.

First, start with a soft launch of a limited South Indian menu as a special offering for a few weeks. This will allow you to gauge customer interest without committing to a full-scale expansion.

Interviewer: That sounds reasonable.

Interviewee: During this soft launch, gather customer feedback to fine-tune your menu and identify which South Indian dishes are the most popular. Simultaneously, invest in staff training to ensure the quality and authenticity of the South Indian dishes. If the soft launch is successful and you see a positive response from your customers, consider expanding the South Indian menu gradually. Keep an eye on key performance indicators such as customer satisfaction and sales of South Indian dishes to determine the pace of expansion.

Interviewer: That sounds like a prudent approach to test the waters.

Interviewee: Additionally, invest in marketing efforts, particularly through social media and targeted online advertising, to promote your South Indian offerings and attract both existing and new customers.

Interviewer: Thank you for your recommendation. It's a clear and thoughtful strategy.

(continued..)

Restaurant

CONSULERE
The Consulting Club
IIM Raipur

Problem Identified

A Delhi based North Indian restaurant wants to start serving South Indian dishes. Evaluate its feasibility.

Approach

- New Market Entry
  - Visions
  - Goals
  - Objectives
- Company
  - Offerings
  - Resources
  - Strengths & Strategic Assets
  - Markets Share
- Customer
  - Segments
  - Needs
  - Profiling
  - Size & Growth
- Product
  - Customer Expectations
  - Available Products
- Competition
  - Competition Analysis
  - SWOT Analysis
  - Entry/Exit Barriers
  - Market Share Estimation
- Entering Strategy
  - If yes, how?
    - Start from scratch
    - Joint Venture
    - Acquisition
  - No

Calculations and Assumptions

Market Size

Population
- Population of Delhi = 30 Mil
- Delhi consist of 5 regions having similar population
- Population of West Delhi = 6 Mil
- Upper Middle Class = 20%* 6 Mil = 1.2 Mil
- Local population = 5% x 1.2 Mil = 60,000
- Population with favorable preference
  = 30% x 60,000 = 18,000

Current Revenue per month = Rs 30 Lakhs
Total monthly guests = 200 (daily) x 30 = 6,000
Average spending per person = Rs 500

Market size for south indian food
= 500 x 18,000 = Rs. 90 Lakhs

Recommendations

Since the market size for South Indian food is great in terms of size and also attractive based on the demand and low competition, the restaurant should consider a phased entry strategy consisting of a soft launch, evaluating feedback and performance indicators before gradual expansion. The company should invest in marketing efforts through social media and targeted online advertising to promote its new offering to both the existing and new customers.

Car Manufacturer

Automobile Industry | Moderate

Problem Statement: Client is an Indian Automobile manufacturer who wants to introduce a sports utility vehicle (SUV) as a new product. Provide the market size of SUVs and recommendations about the factors to be considered for entering the market.

Interviewee: I would like to start by asking about the objective of the company to enter into this new market.

Interviewer: The company currently has no vehicle in the SUV category. It wants to evaluate the market size of SUVs and increase its market share with this new product.

Interviewee: I see. Could you tell me more about the company? Is it safe to assume that it is present in pan India?

Interviewer: Yes the company operates in pan India. It has vehicles in all categories except SUV for each segment.

Interviewee: What are the main competitors for the company?

Interviewer: In terms of market share, there are three competitors ahead.

Interviewee: Are there any differentiating factors about the new vehicle?

Interviewer: All the company's existing vehicles have better NCAP safety ratings compared to the competitors. The new product is also to be developed with that in mind. Can you determine the market size of SUVs in India?

Interviewee: Sure. As the population of India is 1.4 Billion, we can estimate the rural to urban ratio as 7:3. Rural population = 980 Million and urban population = 420 Million. We can assume that people below the poverty line in rural areas is 30% and urban is 15%. It is safe to assume that the average size of a rural family is 5 and that of urban family is 4. If we consider that rural families below poverty line, we have 0 SUVs, rural families above poverty line have 0.5 SUV, urban families below poverty line have 0 SUVs and urban family above poverty line has 1 SUV, the total number of SUV in India is approximately 158 Million. If the average cost of an SUV is taken as Rs 15 Lakhs, the total market size comes as Rs. 237 Crores.

Interviewer: That's a fair calculation. Provide an approach for product launch.

Interviewee: Definitely. Let us consider the key factors to evaluate. We need to assess the strategies and offerings of the main competitors using SWOT analysis and also determine their brand positioning. Then determine the specific consumer segment to be targeted. Develop competitive pricing to balance affordability and profitability. An effective marketing strategy is important to highlight the USP(s) and brand positioning. The distribution and service network would need to be optimized to accommodate the new product based on the demand. Lastly the production efficiency and regulatory compliances need to be regularly monitored.

Interviewer: Great. We can close the case here.

(continued..)

Car Manufacturer

Automobile Industry | Moderate

CONSULERE
The Consulting Club
IIM Raipur

Problem Identified

Client is an Indian Automobile manufacturer who wants to introduce a sports utility vehicle (SUV) as a new product. Provide the market size of SUVs and recommendations about the factors to be considered for entering the market.

Calculations and Assumptions

Assumptions:

Proportion of rural vs urban population: 7:3
Rural population below poverty line: 30%
Urban population below poverty line: 15%
Rural family size: 5 people
Urban family size: 4 people
No. of rural families below poverty line with SUVs: 0
No. of rural families above poverty line with SUVs: 0.5
No. of urban families below poverty line with SUVs: 0
No. of urban families above poverty line with SUVs: 1
Average price of an SUV = Rs. 0.15 Million

Calculations:

Total population of India = 1.4 Billion
Rural population = 0.7 x 1.4 = 980 Million
Urban Population = 0.3 x 420 Million
Rural families below poverty line = (0.3 x 980)/5=59 Mil
Rural families above poverty line = (0.7 x 980)/5=137 Mil
Urban families below poverty line = (0.15 x 420) / 4 = 16 Million
Urban families above poverty line = (0.85 x 420) / 4 = 89 Million
Total SUVs = (59 x 0)+(137 x 0.5)+(16 x 0) + (89 x 1) = 158 Mil
Market Size = Rs. 15 Lakhs x 158 Million = Rs. 237 Crores

Approach

- New Market Entry
  - Visions
  - Goals
  - Objectives
- Company
  - Product Offerings
  - Resources
  - Strengths & Strategic Assets
  - Markets Share
- Customer
  - Segments
  - Needs
  - Profiling
  - Size & Growth
- Product
  - Customer Expectations
  - Available Products
- Competition
  - Competition Analysis
  - SWOT Analysis
  - Entry/Exit Barriers
  - Market Share Estimation
- Entering Strategy
  - If yes, how?
    - Start from scratch
    - Joint Venture
    - Acquisition
  - No

Recommendations

The client needs to assess the strategies and offerings of the main competitors using SWOT analysis and also determine their brand positioning. Then determine the specific consumer segment to be targeted. Develop competitive pricing to balance affordability and profitability. An effective marketing strategy is important to highlight the unique selling points and brand positioning. The distribution and service network would need to be optimized to accommodate the new product based on the demand. Lastly the production efficiency and regulatory compliances need to be regularly monitored. With careful planning and execution, the company can tap into the growing demand for SUVs in India and enhance its market share.

Cigarette Manufacturer

Tobacco Industry | Easy

Problem Statement: A cigarette manufacturing company wants to introduce e-cigarettes. Help them decide if it's a good idea.

Interviewee: To summarize the problem statement, the client is a cigarette manufacturing company wanting to introduce e-cigarettes in the market.

Interviewer: That is correct. How will you determine if it's a good idea?

Interviewee: I would like to know about the company, its objectives and position in the market.

Interviewer: The company is US based where it is the leading brand in the category and wants to know if it can increase its revenue through entering the Indian market.

Interviewee: For market entry evaluation, I'd follow a two-pronged approach: Qualitative which includes risks and feasibility in the market and Quantitative which involves demand assessment, ROI and potential market share.

Interviewer: Very well. How would you estimate the demand?

Interviewee: Firstly, I'd like to estimate the total number of consumers. I'll be taking India's population as 1.4 Billion, and the rural-urban ratio as 7:3. This is important as we must consider the demand in rural areas to be 0 as E-cigarettes are expensive and will only cater to urban population due to its affordability and attractiveness.

Interviewer: Seems fair enough. Move on.

Interviewee: Taking the ratio of men and women as 1:1, the proportion of men vs women consumers of e-cigarettes will differ. We need to take into account the % of the working population which will have the most consumers, followed by college students and retired people which we can neglect for simplicity for now. Next, we need to determine the proportion of smokers out of these categories. Given the price of e-cigarettes, it's safe to assume that only high income groups would consider e-cigarettes as an option. Lastly we need to estimate high income smokers who would opt for e-cigarettes.

Interviewer: Okay, what would be the qualitative measures that you mentioned earlier?

Interviewee: Qualitative measures can be determined using Porter's five forces which would include assessing the market in terms of competition, the overall consumption, threat of new entrants, distributors being in control of existing players and preference of consumers for traditional cigarettes.

Interviewer: Great. This seems to be an in-depth assessment.

(continued..)

Cigarette Manufacturer

Problem Identified

A cigarette manufacturing company wants to introduce e-cigarettes. Help them decide if it's a good idea.

Calculations and Assumptions

Total Population of India = 1.4 Billion

Rural Population (70%) = 0.7 x 1.4 = 980 Million
Urban Population (30%) = 0.3 x 1.4 = 420 Million
Male & Female Urban population = 240 Million each

Proportion of working urban population (males) = 80% x 240
= 192 Million

Proportion of working urban population (females) = 30% x 240
= 72 Million

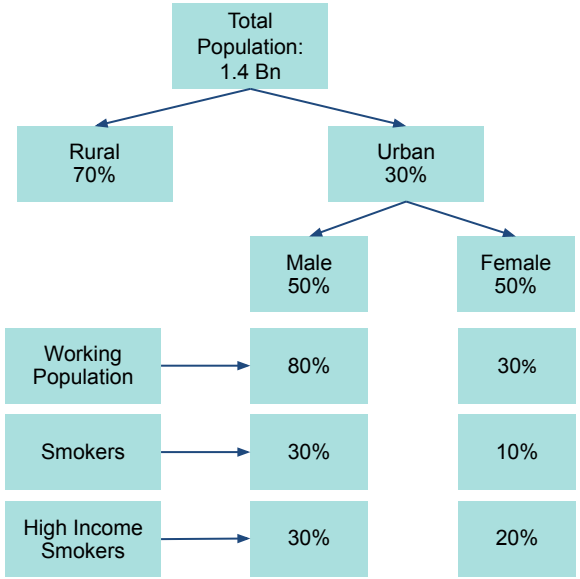
Proportion of male smokers in working urban population
= 30% x 192 = 58 Million

Proportion of female smokers in working urban population
= 10% x 72 = 7 Million

High income male smokers = 30% x 58 = 17.4 Million
High income female smokers = 20% x 7 = 1.4 Million

Approximately 19 Million consumers can be targeted

Approach



Recommendations

Based on the number of potential consumers in India after considering both quantitative and qualitative assessment, the company should definitely consider entering the Indian market to increase its revenue.

Insurance Company

Insurance Industry | Moderate

Problem Statement: A Health Insurance company wants to diversify its portfolio by exploring other Insurance market segments. Should they enter?

Interviewee: I'm curious to know if there is a specific purpose for entering a new segment. And what main objective is behind this market entry? Is it to maximise profit or is there another clear goal?

Interviewer: Insurance sector in India has a great potential through which the client wants to increase its customer base which can also help cross selling of its other insurance products.

Interviewee: I see. Does the business have a target market in mind? Do they intend to use their expertise of the health insurance industry? In addition, are there any regulatory limitations or limits on investments?

Interviewer: The company wants to evaluate mainly the life insurance segment but is open to consider other segments as well. They do not have any regulatory and financial constraints. How would you evaluate the segments?

Interviewee: I would like to address this issue by assessing the market attractiveness, operational viability, and financial viability of the prospective segments. The profitability and return on investment are evaluated as part of the financial viability component. Operational feasibility would include factors like governmental clearances, resource availability, and technological capabilities because these have a direct impact on the scope and efficacy of operations.

The market's attractiveness would then be assessed in terms of its size, its potential for expansion, its existing level of competition, and the availability of agents and brokers, as well as its growth rate. Is this the right move to make?

Interviewer: Sure. Tell me, please, how you would rate the profitability.

Interviewee: The main source of income would be from premiums, and the main expense would be from claims. Should I look at any alternative streams?

Interviewer: No, this consideration should be enough for now. How would you calculate the amount of claims?

Interviewee: The amount paid in the case of the contingent occurrence—which would be the lesser of the sum assured and the actual loss—is the claim. By taking into account the possibility of a loss occurring and the severity of the damage, we can calculate the number of claims.
Claim Amount per contract = Minimum (Sum Assured, Loss Amount) * Probability of loss occurrence

Interviewer: Alright. For evaluating the financial viability, what are the various aspects to be considered?

(continued..)

Insurance Company

Interviewee: The amount of contracts and average profit must be evaluated along with the profitability ratio, which can be computed using market size and achievable market share.
Profitability Ratio = Profit/Revenue * 100
TIn addition, I would compute the combined ratio, which serves as the industry's standard measure of profitability. Since non-operating costs would occur regardless of the segment, the fact that it solely takes into consideration operational costs makes it more valuable for comparing segments.
Combined Ratio = (Incurred losses + Expenses) / Earned Premium.
We can also compare the ROI to assess how well the segment generates revenue.

Interviewer: Okay. So is it viable for the company to consider the life insurance segment? If not, what would you suggest?

Interviewee: As the life insurance segment is already intensely competitive with dominant players along with the presence of government schemes, it would be difficult to gain a substantial market share. Instead, I think the client should focus on the home insurance segment as it is relatively lesser sought after insurance, has low competition but huge potential. Home Insurance penetration in India is just about 1%. Around only 3% of houses are insured in India. As we can expect a real estate boom in the next decade, the company can reap benefits by following a market development strategy, focussing on awareness due to low penetration and lack of competition.

Interviewer: The recommendations sound good. Great.

(continued..)

Insurance Company

Insurance Industry | Moderate

CONSULERE
The Consulting Club
IIM Raipur

Problem Identified

A Health Insurance company wants to diversify its portfolio by exploring other Insurance market segments. Should they enter?

Calculations and Assumptions

Claim Amount per contract
= Minimum (Sum Assured, Loss Amount) * Probability of loss occurrence

Profitability Ratio = Profit/Revenue * 100

Combined Ratio = (Incurred losses + Expenses) / Earned Premium

Approach

- New Market Entry
  - Visions
  - Goals
  - Objectives
- Financial Viability
  - Profitability or Combined Ratio
  - ROI - Return on Investments
- Operational Feasibility
  - Regulatory Approvals
  - Availability of Resources
  - Technological Ability
- Market Attractiveness
  - Market Share & Size
  - Growth Potential
  - Competition
  - Agents / Brokers
- Entering Strategy
  - If yes, how?
    - Start from scratch
    - Joint Venture
    - Acquisition
  - No

Recommendations

Based on the difficulty to enter the life insurance segment due to presence of intense competition and government schemes, it would be better for the company to focus on other insurance segments particularly the home insurance segment instead of life insurance as the real estate market is going to increase in future and there is low penetration and lack of any existing competition, which the company can make use of to increase its customer base and profitability.

GROWTH STRATEGY

Cafe Chain

Hospitality and Food Service sector | Medium

Problem Statement: Your client is a successful regional cafe chain with a strong presence in a few cities. They are interested in expanding their cafe chain nationally. What would you advise him?

Interviewee: To begin with, could you provide information about the number of cafes we own and their geographic distribution? Additionally, it would be helpful to know which customer demographics we primarily serve. Do we possess data regarding our current market position within this customer group?

Interviewer: As of now, we own a total of 25 cafes, primarily concentrated in three major cities: Mumbai, Bengaluru, and Chennai. In terms of customer demographics, our cafes primarily serve urban professionals and students. We have positioned ourselves as a trendy and convenient option for those seeking high-quality coffee and a comfortable environment to work or socialize. Our primary source of revenue typically comes from the sale of coffee and related beverages, along with food items such as pastries, sandwiches, and snacks

Interviewee: Got it. How much are we looking to grow by and how much time do we have to achieve this target?

Interviewer: We are looking to grow our revenues by 30% within 3 years.

Interviewee: Makes sense. Do we have any budgetary constraints?

Interviewer: Not really. You can begin with your approach now!

Interviewee: Of course, following my approach, the initial focus will be on maximizing revenues from our current operations. After fully exploring this avenue, we can then explore fresh business prospects, such as expanding into different regions, diversifying revenue sources, exploring new customer demographics, and evaluating potential mergers and acquisitions.

Interviewer: Okay, how would you like to go about selecting new geographies?

Interviewee: The different aspects we can look at before we enter a new geography are the following:

1. Demographic Analysis: Dive deeper into demographic data in shortlisted geographies. Understand the age groups, income levels, and lifestyle preferences of the local population to ensure alignment with our cafe concept.

2. Economic Viability: Assess the economic viability of each location by considering factors like real estate costs, rent, and potential foot traffic. Calculate expected return on investment (ROI) for each location.

(continued..)

3. Site Selection: Based on the research and analysis, identify specific sites or neighbourhoods within the selected geographies that offer high visibility, accessibility, and a suitable customer base. Evaluate available properties and negotiate leases.

4. Scalability: Ensure that the selected geographies are scalable, allowing us to expand gradually and meet future growth targets.

5. Risk Assessment: Lastly, conduct a risk assessment to identify potential challenges and mitigation strategies for each chosen geography.

Interviewer: Sounds good. What would you like to look at next?

Interviewee: I would like to explore new revenue streams.

Interviewer: Please go ahead..

Interviewee: So in order to generate more revenue we can expand the food menu to include breakfast, lunch, and dinner options. Offer a range of choices, including healthy and vegetarian/vegan options, to cater to diverse customer preferences. Explore opportunities for hosting events, workshops, or live performances at our cafes. Charging an event fee or partnering with event organizers can generate extra revenue. Offer catering services for corporate events, meetings, and private parties.

Create tailored catering packages to attract business clients. Firstly, we will get additional revenue from these. Secondly, the image of our cafes will improve. We should also focus on delivering a high-quality and consistent cafe experience to attract and retain customers.

Interviewer: Good suggestions so far. Let's move on to the next part of your framework. How would you target each customer segment?

Interviewee: We can leverage data analytics to segment our customer base and create detailed customer personas for each segment. Customize marketing campaigns for specific geographical areas to align with local preferences and cultural nuances. This can help attract customers from different regions. Create promotions and loyalty programs that appeal to different segments. For example, offer discounts to students, loyalty points to regulars,and special promotions for families or groups. Establish a feedback loop with each customer segment.and special promotions for families or groups. Establish a feedback loop with each customer segment. Encourage them to share their opinions and suggestions, and act on this feedback to enhance their experience.

Interviewer: Sounds great. You mentioned about scalability initially. How are you planning to go about that?

(continued..)

Interviewee: For this, we can explore the mergers and acquisitions strategy, where we can access the possibility of merging with or acquiring cafes operating within our current markets. This strategic move can help reduce market competition and potentially enable us to implement price increases. Moreover, it can serve as an entry strategy when venturing into new geographic locations. Are there any other aspects we should consider in this regard?

Interviewer: Nothing more, we are good. Thank you for the suggestions.

Online Shopping Beauty Store

E-Commerce | Hard

Problem Statement: Our client is an online shopping beauty store, is currently facing high competition, with multiple players vying for market share. Hence they wish to further expand their beauty and cosmetics segment. Develop a growth strategy that incorporates innovative approaches to ease the expansion and increase revenue by 20 %.

Interviewee: Before we dive into the case, I would like to get some background information. Could you please share companies revenue details over past years.

Interviewer: Yes sure. Revenue jump 20% year on year to Rs 1,301 crore in the January to March quarter. We also witnessed some decline in profit in last quarter.

Interviewee: Okay. And what's the current situation that led to the decline in profit?

Interviewer: The current issue fancied by the company is intense competition in the e-commerce fashion and beauty industry, which has put pressure on both market share and profitability. Now, our client wants to focus on expanding its beauty and cosmetics segment and achieve a 20% increase in revenue. How would you recommend they approach this challenge?

Interviewee: I believe, in order to address this challenge, client needs to develop a comprehensive growth strategy for their beauty and cosmetics segment. This strategy should include a mix of innovative approaches, such as product diversification, customer engagement, and digital marketing, while optimizing their profit margins.

Interviewer: How would you explore these strategies further? How do you think the company can diversify its product offerings within the beauty and cosmetics segment to attract a broader customer base?

Interviewee: They can introduce new private label cosmetics and skincare products, leveraging their brand reputation and quality control. Collaborate with emerging and innovative beauty brands to feature their products exclusively on companies online platform. Create subscription box services tailored to customers' preferences, offering a curated selection of products each month.

Interviewer: Good. How can our client enhance customer engagement and loyalty in the beauty and cosmetics segment?

Interviewee: Launch a rewards program offering points for purchases, early access to products, and exclusive discounts. Provide free delivery for purchases above a defined limit and repeated customers. Implement augmented reality (AR) features for virtual product try-ons, allowing customers to visualize products before buying. Build an online beauty community where customers can share reviews, tips, and product recommendations, fostering a sense of belonging.

(continued..)

Online Shopping Beauty Store

E-Commerce | Hard

Interviewer: Okay. How can they leverage digital marketing to promote its beauty and cosmetics segment effectively?

Interviewee: Run targeted social media campaigns showcasing new products, customer testimonials, and beauty tutorials. Partner with beauty influencers to create engaging content and reviews, reaching a wider audience. Implement personalized email marketing to recommend products based on customers' past purchases and preferences.

Interviewer: Great insights into digital marketing strategies. Now, let's discuss how can our client maintain or improve their profit margins while expanding in the beauty and cosmetics segment?

Interviewee: Carefully analyze pricing structures to ensure they are competitive yet profitable. Optimize supply chain operations to reduce costs and minimize wastage. Invest in efficient warehousing and order fulfilment processes to reduce operational expenses.

Interviewer: Excellent suggestions. We can conclude our interview now.

Health Insurance Company

Health Sector | Medium

Problem Statement: Our client is a health insurance provider and aims to expand its market presence and increase enrolment. Develop a growth strategy that involves leveraging digital platforms to provide health services.

Interviewee: I'll reiterate the problem statement to be sure that we are on the same page. Our client, a leading health insurance provider, is seeking a growth strategy to expand its market presence by introducing digital platforms to offer health services.

Interviewer: Sounds right.

Interviewee: Before I start with my analysis, I have a few preliminary questions.Could you explain the market segment our client is focused on currently?

Interviewer: Our client is an established health insurance provider primarily serving urban areas. However, they aim to broaden their reach and boost enrollment by utilizing digital platforms for health services. You can use any approach that seems fit to find the solution.

Interviewee: Using digital platforms for health services can help them attract a broader audience and in turn drive enrollment growth. I would like to proceed with a Mobile app and a telemedicine platform and aims to increase the enrollment by 25% within a year.Do these seem to meet the requirements?

Interviewer: Yes, the options are good. Let's evaluate the options.

Interviewee: For Mobile App: Invest $1.5 million in developing a feature-rich mobile app. Ensure a user-friendly interface with access to policy information, claims filing, and wellness resources. Allocate $500,000 for marketing and promotion to attract users.Similarly for Telemedicine Platform: Dedicate $1 million to build a secure telemedicine platform. Collaborate with the existing network of 10,000 healthcare providers to offer remote consultations.

Interviewer: Okay. What specific features or functionalities would you recommend for the app to attract and engage users effectively

Interviewee: In the app an easy submission of insurance claims can make the process much simpler for users. Can include wellness resources like health tips, articles, and interactive wellness challenges. Integration with healthcare providers in the nearby area for appointment scheduling.

Interviewer: But how does these functionalities make the app different from other available in the market. Could you suggest anything more?

(continued..)

Health Insurance Company

Interviewee: Yes, absolutely. I believe partnering with major hospitals can significantly enhance the strategy. Offer policyholders priority access to appointments and procedures at partner hospitals, reducing waiting times. Collaborate with hospitals to create health checkup and screening packages, exclusively available to policyholders at discounted rates. Integrate the telemedicine platform with partner hospitals to allow remote consultations with their specialists.

Interviewer: Okay, this could enhance user engagement. Now, regarding the telemedicine platform, the provider has an existing network of 10,000 healthcare providers. How can they effectively leverage this network to provide remote consultations and improve enrollment?

Interviewee: We can provide comprehensive training for healthcare providers to offer remote consultations effectively. Promote the telemedicine service to policyholders, highlighting its convenience and cost savings. Also collect and create a feedback loop for both policyholders and providers to continuously improve the telemedicine experience.

Interviewer: Yeah, that seems correct. That'd be all, thank you!!

PRICING

Electronic Goods Company

Manufacturing | Medium

Problem Statement: Phillips has come up with a new iron, with a warranty of 10 years. Now tell me how to finalize the price of this iron.

Interviewee: Okay, to proceed further I would like to know whether the same kind of product is available from any competitor in the market.

Interviewer: No, this is the first product coming with this long warranty period.

Interviewee: I would like to know more about the product, Is this a completely new product or just an update in the previously available version.

Interviewer: It's a completely new product.

Interviewee: Is there any other difference in this product from the currently available products?

Interviewer: No, only the warranty of the product has been increased by updating a few elements in the product.

Interviewee: Since it's a new product we cannot price it based on the competitor's price nor by using value-based pricing. Hence, I would like to use cost-based pricing in this case.

Interviewer: Okay. Please proceed.

Interviewee: So how much money has been spent on the R&D of this product?

Interviewer: INR 25 Cr. For this product. For a regular iron, it cost us ₹200 to manufacture, it's sold to the distributor at ₹350, they sell it to the store owner at ₹380, store owner sells it to customers at ₹450. This new iron cost us ₹300 to manufacture.

Interviewee: Now, since the manufacturing cost is ₹75 higher, then accordingly, customers had to pay ₹525 for this new iron. On the other hand, if a regular iron works for around 2.5 years, they need to purchase 4 regular iron in this period.

Interviewer: Okay, so what are you recommending?

Interviewee: To purchase four regular irons, a customer will end up paying ₹1800. Now to enjoy hassle-free usage for the next ten years, customers will be ready to pay a premium on the current product. We can have a markup over our manufacturing cost and sell each iron at ₹1500. In this way, the amount can be recovered within two years and by using this cost-based strategy we can generate a higher amount of profit.

Interviewer: Nicely done, thank you

(continued..)

Electronic Goods Company

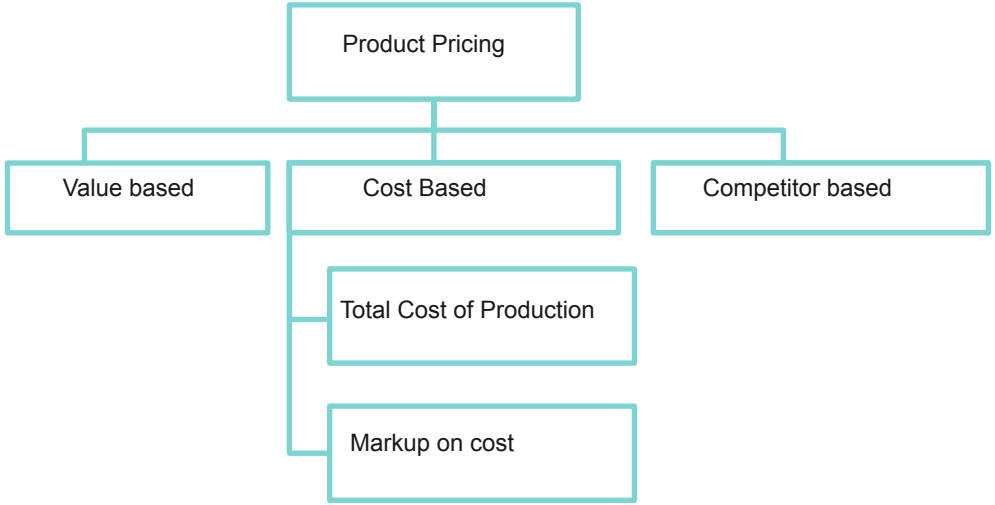
Manufacturing | Medium

Problem Identified

To identify the price of a new product with warranty of 10 years.

Calculations

Current case profit = ₹150
New case profit = ₹700
Expected sales unit per year = 200,000
Total sales unit in two years = 400,000
Total expected profit = 400,000*700= ₹28,000,00,00



Recommendations

Sell to distributor at ₹1100, retailer at ₹1200 and to customer at ₹1500, In this way, the amount can be recovered within two years and using this cost-based strategy, we can generate a higher amount of profit

Automobile Company

Manufacturing | Hard

Problem Statement: Maruti Suzuki is introducing a new electric car. The company needs to decide on a pricing strategy that will compete with gasoline-powered cars and generate the desired profit margin.

Interviewee: To proceed further I would like to know whether there is any major differentiating feature available in the product.

Interviewer: Yes, its battery capacity is 50% more than any other electric car available in the market.

Interviewee: What is the cost of gasoline-powered cars that you are selling right now in this segment?

Interviewer: The cost ranges from ₹18-20 Lakh in this segment

Interviewee: Also is there any competitor of this car?

Interviewer: Yes, there are few competitors for this product.

Interviewee: Since it's a case where there is a better feature as well as presence of competitors, we should use both competition-based and cost-based pricing strategy.

Interviewer: Okay, please proceed.

Interviewee: What is the difference in the price of new battery and what will be the cost of this car to us?

Interviewer: So, the new batteries will cost us at ₹7 Lakh, and the old batteries used to cost us at ₹5 Lakh. Hence, the difference is ₹2 Lakh. The manufacturing of the car with new batteries will be costing us at around ₹14 Lakh.

Interviewee: Also, what is the cost of the car available in the market with the same features?

Interviewer: The average price of car with the same features ranges from ₹18-20 Lakh.

Interviewee: Since its batteries are ₹2 Lakh costlier than an average electric car in this segment, it will cost the car at around ₹20-22 Lakh. Does the government provide any incentives for purchasing electric cars?

Interviewer: Yes, the government is providing a subsidy of ₹2 Lakh on a vehicle above ₹15 Lakh. So, what are your recommendations?

Interviewee: Now, since the manufacturing of this new electric car is costing us ₹14 Lakh and considering the fact that other electric car in this range are costing at around ₹20-22 Lakh and gasoline cars are at around ₹18-20 Lakh, we can markup our product both by cost-based and competitor-based approach. Also, the government is providing a subsidy of ₹2 Lakh. Considering all these factors, we can provide the vehicle at ₹18 Lakh to the dealers and they can sell it at ₹20 Lakh. By considering the government subsidy and negligible maintenance cost of electric vehicle, customer can prefer it over gasoline vehicle.

(continued..)

Automobile Company

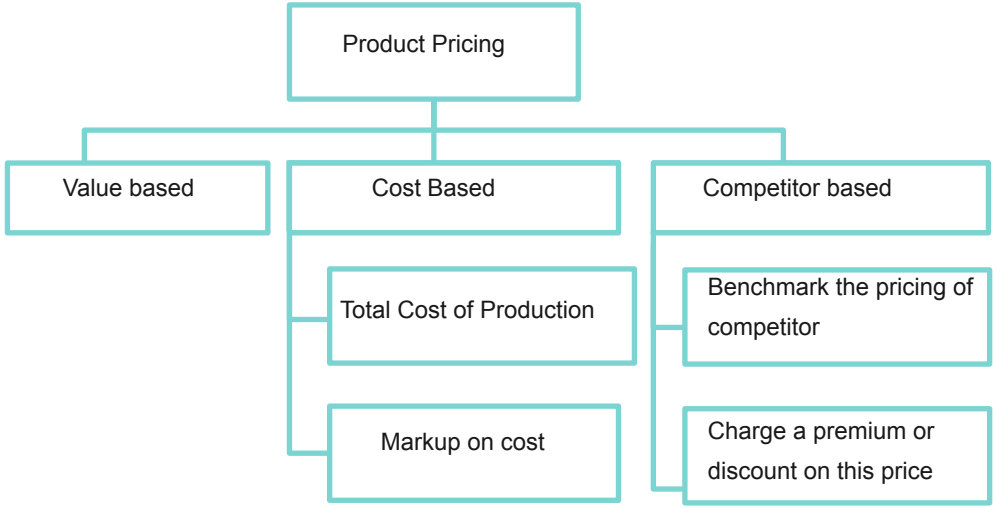
Manufacturing | Hard

Problem Identified

To decide a pricing strategy that will compete with gasoline-powered cars and generate the desired profit margin.

Calculations

Price of Current battery set = ₹5 lakh
Price of new battery set = ₹7 lakh
Price difference between both the battery sets = ₹2 lakh
Cost of the car = ₹14 lakh
Markup on the car = ₹6 lakh
Total cost of the car = ₹ 20 lakh



Recommendations

We can provide the vehicle at ₹18 Lakh to the dealers and they can sell it at ₹20 Lakh. By considering the government subsidy and negligible maintenance cost of electric vehicle, customer can prefer it over gasoline vehicle.

Mobile Phone Company

Manufacturing | Hard

Problem Statement: Samsung has developed a new mobile phone with transparent body, help them price the product.

Interviewee: Sure! I will begin by looking into the production costs. The transparent body technology is cutting-edge, and I believe it's going to be a significant cost driver. What is the production cost?

Interviewer: The estimated production cost of the new product is ₹70k.

Interviewee: Is there any competition of this product? Are there any similar products in the market, and if so, how are they priced?

Interviewer: I couldn't find any directly comparable products currently available. This unique feature sets it apart from the competition.

Interviewee: Who do you think Samsung is targeting with this phone?

Interviewer: Given its innovative nature, the primary target audience would be tech enthusiasts and early adopters.

Interviewee: How much is the willingness to pay for this audience?

Interviewer: These customers are typically willing to pay a premium for cutting-edge technology

Interviewee: Based on market research, I estimate this segment's willingness to pay is approximately 20% higher than the average top end smartphone price. And customers expressed strong interest in the product, and we found that they are willing to pay up to ₹190K for a transparent phone with the latest features and design. What is Samsung's long-term strategy with this product ?

Interviewer: Samsung's long-term strategy with this product aims to create a buzz and showcase their innovation capability. Now, let's identify the price.

Interviewee: To align with this strategy, I suggest an initial pricing strategy that starts at ₹140K for pre booking to generate excitement and gradually increases to ₹170K as demand grows.

Interviewer: I see your point. I agree with your suggested pricing range. It aligns with production costs, customer expectations, and Samsung's strategic goals.

(continued..)

Mobile Phone Company

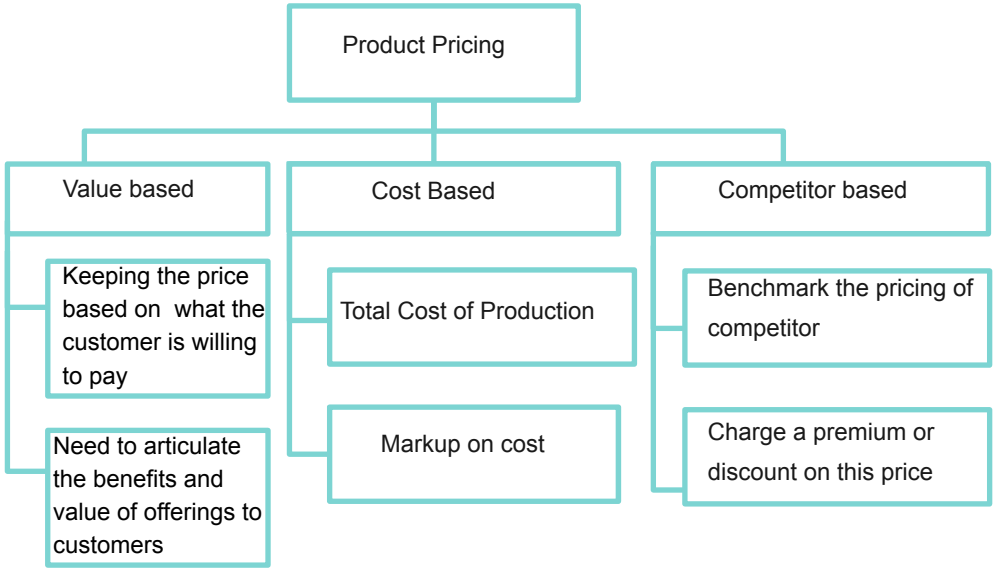
Manufacturing | Hard

Problem Identified

To decide a pricing strategy of a newly developed product which is first of its kind.

Calculations

Production Cost = ₹70k
Average price of a top end samsung smartphone = ₹140k
Considering premium on this amount = ₹140k*1.2 = ₹170k



Recommendations

I would recommend an initial pricing strategy that starts at ₹140K for pre booking to generate excitement about the product and gradually increases to ₹170K as demand grows.

M&A

4 wheeler company

Automobile | Medium

Problem statement: A 4-wheeler manufacturing company wants to diversify their business and go into 2-wheeler manufacturing. But since they don't have expertise in it, they plan to acquire a 2-wheeler company. Should they go for the M&A or not

Interviewee: To assess the 2-wheeler market, we should first determine its size, growth potential, and competitive landscape. Identifying key players, market trends, and consumer preferences is crucial. We also need to understand if there is room for new entrants and how regulatory factors might impact the market.

Interviewer: Excellent. Now, let's deep dive. What key factors should we take into account when evaluating the company's expertise in 2-wheeler manufacturing?

Interviewee: We should assess the company's current capabilities and expertise in 2-wheeler manufacturing. This includes evaluating whether the existing workforce, technology, and manufacturing facilities are adaptable to the 2-wheeler segment. Identifying potential knowledge gaps is essential.

Interviewer: Financial considerations play a significant role. How would you approach the financial analysis of this potential acquisition?

Interviewee: Financial analysis should involve calculating the acquisition cost, including the purchase price and any transaction-related expenses. Additionally, we need to estimate the cost of developing 2-wheeler manufacturing expertise internally. Comparing these costs to the potential return on investment (ROI) will guide our financial assessment.

Interviewer: Brand alignment is essential. How can we assess if diversifying into 2-wheeler manufacturing aligns with the company's existing brand and operations?

Interviewee: We should evaluate whether the 2-wheeler business aligns with the company's brand identity and values. Assessing if there are synergies with existing operations, including sales and distribution channels, is crucial. We also need to consider how this move might impact the company's reputation.

Interviewer: What specific aspects of due diligence will you prioritize?

Interviewee: We need to ensure a smooth transfer of ownership, compliance with regulations, and any potential legal risks. Additionally, assessing the condition and readiness of the target 2-wheeler company is vital.

Interviewer: Risk assessment is crucial. What types of risks should we consider when evaluating this diversification?

Interviewee: We should consider market risks such as demand fluctuations and competitive pressures in the 2-wheeler segment. Operational risks related to adapting to new manufacturing processes and potential challenges in integrating the two businesses need to be evaluated. Financial risks, including the possibility of losses, should also be assessed. Our recommendation should be based on a holistic evaluation of market potential, expertise assessment, financial feasibility, brand alignment, due diligence findings, and risk assessment. We need to weigh these factors carefully to determine if the acquisition aligns with the company's long-term strategic goals and presents a viable diversification opportunity.

Interviewer: Well done! Your structured approach covers all the critical aspects necessary for evaluating this potential diversification.

Semiconductors

Problem statement: You're working for a major semiconductor manufacturing company, and they are contemplating the acquisition of another semiconductor company. Your task is to assess whether they should proceed with this M&A.

Interviewee: Certainly, I'm ready to dive into the case. Could you please provide me with more details about the target semiconductor company?

Interviewer: Of course, here are some details. The target company, let's call it "Techtronics," is a semiconductor firm specializing in cutting-edge microprocessors. They have a strong market presence in emerging technologies such as AI and IoT. Techtronics has shown consistent revenue growth over the past three years and has a reputation for innovation.

Interviewee: Thank you for that information. To make an informed assessment, I'd like to delve into a few key areas. First, could you elaborate on our company's strategic objectives and reasons for considering this acquisition?

Interviewer: Our client, EcoTech Semiconductors, is keen on expanding its product portfolio and market reach. Techtronics' expertise in AI and IoT aligns well with our strategic goals of diversification and staying at the forefront of emerging technologies.

Interviewee: That's helpful. Now, how does Techtronics compare to our company in terms of market positioning?

Interviewer: Techtronics holds a strong position in markets that are in line with our expansion goals. They have a solid customer base in sectors like autonomous vehicles, which we aim to penetrate. Their market share and reputation could be assets for our company.

Interviewee: Thank you. Moving on to technology and innovation, do we have any insights into Techtronics' intellectual property and technological capabilities?

Interviewee: Techtronics is known for its cutting-edge microprocessors and holds several patents in AI and IoT technologies. Their expertise in these areas could greatly enhance our product portfolio and technological offerings.

Interviewee: That's promising. Let's consider the financial aspect. Can our company financially afford this acquisition, and do we know Techtronics' financial health?

Interviewer: We have assessed our financial capacity, and while we might need some external financing, it is manageable. As for Techtronics, their financials appear sound, with consistent revenue growth.

Interviewee: Great, moving on to the due diligence aspect, are there any potential integration or legal challenges.

Interviewer: There are no integration challenges and we're conducting thorough due diligence to ensure compliance. We have a legal team working closely on this aspect to identify & mitigate any potential legal or compliance issues.

Interviewee: Great. In that case, It appears to be a strategically sound decision that aligns with our long-term goals, offers potential for growth in emerging markets, and provides the quickest route to gain a competitive edge in the AI and IoT sectors, while challenges can be managed.

Telecom

Problem statement: You are a consultant advising a telecom company, "TechCom," on a potential M&A opportunity. TechCom is considering acquiring a telecom company, "MetroTel." Your task is to assess the viability of this M&A deal.

Interviewee: Thank you for the introduction. Could you provide me with some initial details about TechCom and MetroTel?

Interviewer: TechCom is a large national telecommunications company with a strong presence in urban areas. They offer a range of services, including mobile, broadband, and television. TechCom has been experiencing moderate growth in recent years but faces increasing competition from other national providers. MetroTel, on the other hand, is a regional telecom company operating in smaller, suburban and rural markets. They provide similar services but have a much smaller customer base and infrastructure.

Interviewee: To assess the viability of this M&A, I would consider several key factors. First, I would analyze the financial health of both companies, including their revenue, profitability, and debt levels. This will help determine if TechCom can afford the acquisition and if MetroTel's financials are stable.

Interviewer: That's a good start. Financials are indeed crucial. What's your next step?

Interviewee: Next, I'd examine the strategic fit. How does acquiring MetroTel align with TechCom's long-term objectives? Are there synergies in terms of expanding into new markets or complementing their existing services? I'd also look at the competitive landscape. What is the market share of both companies and how would this acquisition impact the competitive dynamics in the telecom industry?

Interviewer: Strategic alignment is essential and understanding the competitive landscape is crucial. What else would you consider?

Interviewee: Integration challenges are significant in M&A deals. I'd assess potential challenges in integrating MetroTel's operations, technology, and teams with those of TechCom. This includes cultural alignment and any restructuring required. Integration challenges can indeed impact the success of the acquisition. What about regulatory and legal aspects?

Interviewer: To identify legal risks and regulatory hurdles, I'd conduct a comprehensive review of both companies' legal and compliance records. This includes looking for pending lawsuits, regulatory investigations, or compliance issues. I'd also consult with legal experts to ensure we have a clear understanding of any potential legal challenges.

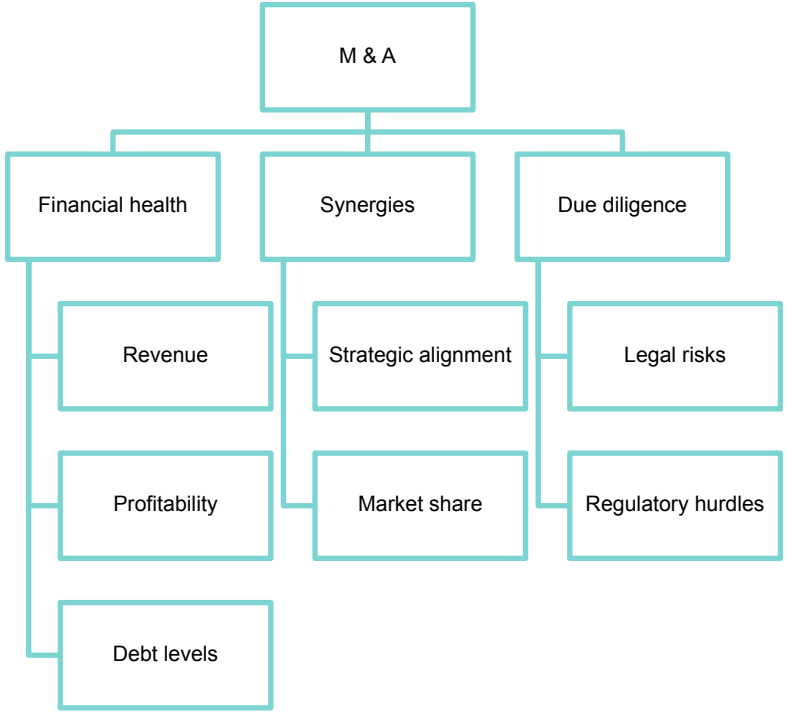
Interviewee: That's thorough. Lastly, when exploring potential synergies, how would you go about identifying opportunities for cost savings & revenue growth?

Interviewer: Identifying synergies involves a detailed analysis of both companies' operations and processes. I'd look for areas where we can eliminate redundancy & reduce costs, such as streamlining supply chains or consolidating back-office functions. Additionally, I'd explore opportunities for cross-selling services to the expanded customer base, which could drive revenue growth.

Interviewee: Thank you for outlining your approach to this assessment.

(continued..)

Telecom


M & A
Financial health
Synergies
Due diligence
Revenue
Strategic alignment
Legal risks
Profitability
Market share
Regulatory hurdles
Debt levels

UNCONVENTIONAL

Amusement Park

Entertainment | Medium

Problem Statement: An amusement park is owned by your client. He is worried about the lengthening ride wait times. You have been engaged by him to investigate into this.

Interviewee: Okay. Would you please tell me a little more about the theme park? How far away is it? Which attractions in the park are there?

Interviewer: Hyderabad is home to The Park. Both land-based and aquatic rides are available. The park also has food stands scattered all over it.

Interviewee: Ok, What is the problem exactly? Is it necessary to reduce the wait times for both land and water rides?

Interviewer: The grievances have notably pertained to the roller coaster situated within the Park. The ride consistently has extended waiting periods.

Interviewee: It is regrettable. Is there a predetermined objective about the desired reduction in waiting time and the timeframe for its accomplishment? Additionally, should we consider any financial limitations that may impact our decision-making process?

Interviewer: There is a lack of specific aims in our current context. Both short-term and long-term options can be examined. There are no financial limitations.

Interviewee: By examining the choices, I have two parts to my method:
1)Roller coaster ride wait times can be reduced by implementing wait time reduction tactics.
2) Enhancing waiting: Starting with delay length.
Divide the number of people in queue and the ride turnover rate by the number of roller coaster seats to calculate the waiting time.
Several approaches could be taken to reduce queuing:
1) Roller coaster demand management:

- Adding a fee due to its popularity.
- Moving the attraction (albeit the ride's qualities may make this difficult).
- Increasing the quality and demand for other attractions may help distribute visitors more evenly among rides. By improving these alternative offers and implementing strong marketing campaigns, you can draw more guests and distribute the audience more fairly between rides.
- A suggestion exists to raise the minimum height/age.

2) Highlighting other attractions, including:

- Introduction of 9D cinema has created a new entertainment category.
- New amusement attractions
- Building a second roller coaster

(continued..)

3. The operational hours of the park and roller coaster can be extended in order to promote a more evenly distributed demand throughout the day.

Interviewer: We can consider the prospect of designing an additional roller coaster. You may go to the subsequent factor.

Interviewee: Of course. In this analysis, we will examine numerous methods for shortening each ride. The duration will be divided as follows:
1) Embarkation: This procedure requires individuals to assume their allotted positions within the roller coaster and fasten their seatbelts securely.
During the operational period of the roller coaster, time management can be optimised by providing subsequent riders with a comprehensive orientation on safety protocols, including instructions on how to correctly fasten seat belts.
Personnel with adequate training to mitigate any delays during this phase.
In particular parks, a centralised seat belt securing system has been implemented. This will eliminate the need to evaluate each individual's belt individually.
2) The voyage includes the possible action of increasing the roller coaster's speed, contingent on the assurance of its safety. The potential shortening of the roller coaster's length may be considered so long as it does not substantially alter the overall experience.
3) Deplanement: Trained personnel are necessary to assist passengers in order to ensure a smooth deplaning procedure. De-boarding is possible from the roller coaster's opposite side. This measure will effectively reduce congestion and improve procedural effectiveness.

4) Idle time: Standard procedures are repeated regularly. Staff can also take breaks for refreshments.
A systematic staff rotation strategy reduces inactivity. Regular inspections should be systematic. Automating this procedure and using a checklist might help employees finish faster.

Interviewer:Great What subject matter would you choose to examine subsequently?

Interviewee:To enhance the waiting experience, we can consider the following options:
• Digitised queuing: A smartphone app can be used to reserve a vehicle and create a digital queue.
• The implementation of a token system allows for the issuance of unique identifiers to people, hence eliminating the need for them to wait in a line.
• Moreover, this will lead to a decrease in traffic.
Attractions and individuals donning costumes may be strategically arranged in the vicinity of the roller coaster to provide entertainment and enjoyment to those awaiting their turn in the line.
Is there any further subject matter that I should explore?

Interviewer : We can close the case now. Have a nice day!

Digital Transactions

Banking | Hard

Problem Statement: Your client is the Indian government. They have requested your assistance in increasing the total quantity of digital transactions in the nation.

Interviewee: The subject matter is exciting. Is there a specific goal in terms of the desired increase in digital transactions and the corresponding timeframe within which this target is expected to be achieved?Are there any financial or other limitations that we need to consider?

Interviewer:Their objective is to maximise the rise within a timeframe ranging from 8 to 14 months. There are no limitations or restrictions.

Interviewee:I would like to further discuss the concept of A digital transactions. Are the payment methods being discussed NEFT, RTGS, Card, UPI, and e-Wallet?

Interviewer: Precisely.

Interviewee:Okay, we can do quite a bit. I would like to analyse the issue using the following formula:
The quantity of digital transactions = The amount of individuals engaging in digital transactions * The amount of digital transactions per individual
First, we can examine methods to encourage more individuals to experiment with electronic payment methods. Next, we can consider expanding the quantity of digital transactions they conduct.
To increase the population, we can consider need, awareness, availability, cost effectiveness, and the experience.

Interviewer:Certainly, I look forward to hearing your suggestions.

Interviewee: Initially it's important to realise how important it is to include digital payment ways. To do this, the government might think about passing laws that require the use of internet transfers in certain situations. For example, cash trades of more than Rs. 25,000 would be banned. One benefit of digital deals is that you don't have to worry about coins being all over the place. Maybe the government should think about making it harder for people to get smaller bills, which would make people more likely to use digital payment ways.
As the government turns its attention to the issue of awareness, it can think about two important things: promotional campaigns and a noticeable image. People can be effectively told about the benefits of digital transactions through ads, signs, and other forms of advertising. Through a programme, businesses of all kinds, even those in remote areas, could be urged to use digital payment means. This would help to make more people aware of and interested in these sites. It is important to put this effort at the top of the list for a number of government services, such as the mail service, public distribution systems, and others.
It is important to push for bank accounts that don't require a minimum amount to be used by most people. Given how few people have smartphones and internet access now, the government must do everything it can to get more people to use them.

(continued..)

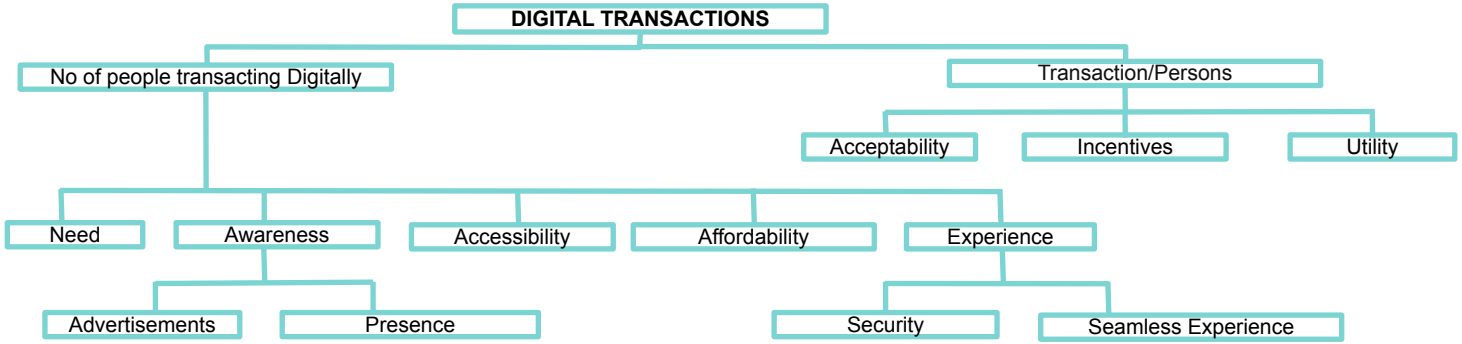
Digital Transactions

Interviewee: However, it's possible that 8-14 months won't be enough time. Thus, we may consider developing an alternate solution, such as a function on BHIM that allows customers to make purchases by providing just their UPI ID and an OTP.Google Pay, as well as other similar services like PayTM, are examples of free digital payment options. However, efforts may be done to lower fees associated with using debit and credit cards nationwide. Smartphones and data subscriptions with government subsidies will also help.Two things interest me under the heading "experience": The process of earning confidence and creating a frictionless interaction. Citizens need reassurance that online purchases are secure. Public relations, reassuring the public, etc., are all viable options. By integrating this with other consumer protection initiatives, we can guarantee fair restitution in the event of any financial mismanagement on the part of merchants or payment processors.

Interviewer:It appears that this covers everything. Do you want to talk about anything else?

Interviewee:Actually, we have yet to figure out how to maximise individual productivity by completing more deals. This may be accomplished through broadening the public's comfort with digital transactions, creating incentives for increased business volume, and enhancing the value of digital currency.Increasing the number of businesses who accept electronic transactions is an important goal under acceptance. Utility bills like those for power and gas should accept UPI. In addition, regulations for international digital trade might be loosened.Promotions may be anything from cashbacks to rewards for loyalty offered by a platform. Other offerings, such as those for managing expenses and sharing bills, may be made available via a payment portal.

Interviewer:Excellent! All of us in the government appreciate your assistance.



GUESSTIMATES

Introduction

A guesstimate combines an estimate with a guess. In order to solve a guesstimate, one must follow a structured methodology, make reasonable assumptions, use quick calculations, and effectively communicate the steps to the interviewer.

METHODOLOGY

Demand Side

For demand-side guesstimates, dissect the problem into essential components (e.g., population, consumer behavior), estimate each component, and calculate the final estimate by multiplying or combining these values.

Supply Side

For supply-side guesstimates, break down the problem into key factors (e.g., production capacity, labor efficiency), estimate each factor separately, and combine them to arrive at a final estimate. Be sure to highlight assumptions and potential variations.

Top-Down Methodology

Starting with a high-level, known figure like the total population, the top-down methodology systematically breaks down complex problems by adding filters and splits while applying reasonable assumptions to arrive at a refined estimate.

Bottom-up Methodology

In the bottom-up methodology, the estimation process begins with specific, detailed data for representative units, followed by extrapolation, applying reasonable assumptions, effectively building up a comprehensive estimate from the ground level.

Splits & Filters:

Commonly used drill downs in Top-Down methodology:

- Rural-Urban Split: Geography based approach
- Gender Split: Split between male and female
- Age Split: Split the population into various age ranges
- Income Split: Based on individual or household income

Types Of Guesstimates:

Market Sizing

Geographical/Area Guesstimates

Time and Rate Guesstimates

Financial Guesstimates

Population and Demographic Guesstimates

Probability and Percentage Guesstimates

Capacity or Volume Guesstimates

Unconventional Guesstimates

GUESSTIMATE- 1

Problem Statement: How much chicken will be consumed in a day in Hyderabad?

APPROACH

Assumptions:

Day Agnostic - Weekend (Friday / Saturday / Sunday)

Estimation: all people have the capital to consume chicken on the weekend.

Bifurcating the population into those of Vegetarians and Non-Vegetarian.

Segmenting into Income terms
Total Population of Hyderabad - 1cr / 10 million

Considering the Lower Class 20%, Middle Class 70%, and Upper Middle Class 10%.

150 grams / 0.15 Kg of chicken consumed by an average non-veg a day.

CALCULATIONS

So, Amount of non-veg consumption in each class

Class = Population * Non-Veg % * 0.15 Kg

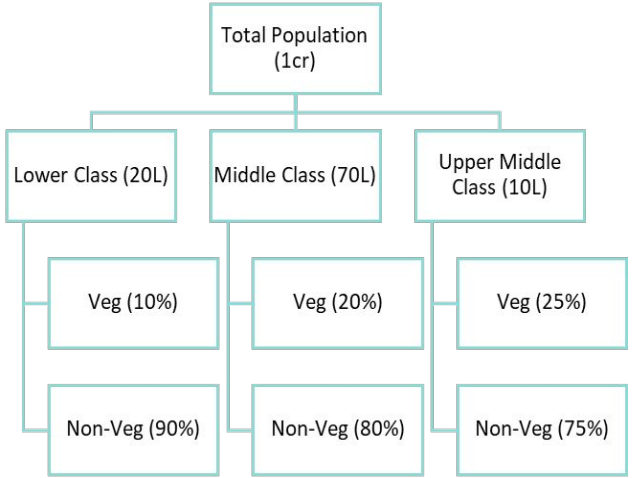
Lower Class = (20/100 * 1cr) * 90/100 * 0.15 = 2.7 Lakh - Kgs

Middle class = (70/100 * 1cr) * 80/100 * 0.15 = 8.40 Lakh - Kgs

Upper Middle class = (10/100 * 1cr) * 75/100 * 0.15 = 1.125 Lakh - Kgs

Total = **12,22,500 Kgs of chicken** will be consumed in Hyderabad on a weekend

FLOWCHART



GUESSTIMATE- 2

Problem Statement: How many vehicles will pass through a national toll gate in a day?

APPROACH

Assumptions:
Two types of vehicles LMV (Light Motor Vehicle = Cars) & HMV (Heavy Motor Vehicle = Lorry / Load Trucks / Other Vehicles)

Consider the Rush / Traffic Hours (7AM - 9PM) & No Traffic Hours (12AM - 7AM & 9PM to 12AM)

Assuming 3 Cars per minute in Rush/ Traffic hours & 1 car per minute in no traffic hours through all the gates at that toll

Assuming 2 Other Vehicles per min in Rush / Traffic hours & 1 other vehicle per min in no traffic hours through all the gates at that toll

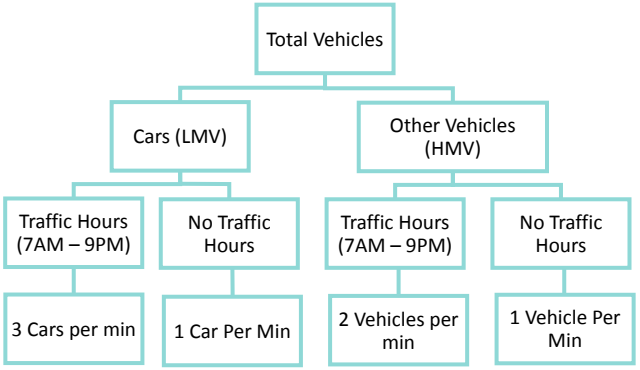
CALCULATIONS

Cars = (Traffic Hour + No Traffic)
= {3 (Cars) * 60(Mins per Hr) * 14(Hours)} + {1 (Cars)* 60(Mins per Hr) *10(Hours)}
Total Cars Pass through Toll = 3120

Other Vehicles = (Traffic Hour + No Traffic)
= {2(Other vehicle) * 60(Mins per Hr) *14(Hours)} + {1 (Other vehicle) * 60(Mins per Hr) *10(Hours)}
Total Other Vehicles Pass through Toll = 2280

Total Vehicles pass through a national toll gate is **5400 vehicles** per day

FLOWCHART



GUESSTIMATE- 3

Problem Statement: Estimate the total number of water bottles in IIM Raipur campus

APPROACH

Assumptions:
We can approach this guesstimate by taking a rough estimate of the number of people staying inside the campus.

This number can be arrived at by drilling down to the number of students staying inside the campus, and the number of teaching and non-teaching staff staying inside the campus with their families.

Divide the total number of students into 3 segments, say, students carrying one bottle, 2 bottles, and no bottle.

Also, consider the bottles present in the Bmart with 6 packs, and each pack contains 10 bottles.

CALCULATIONS

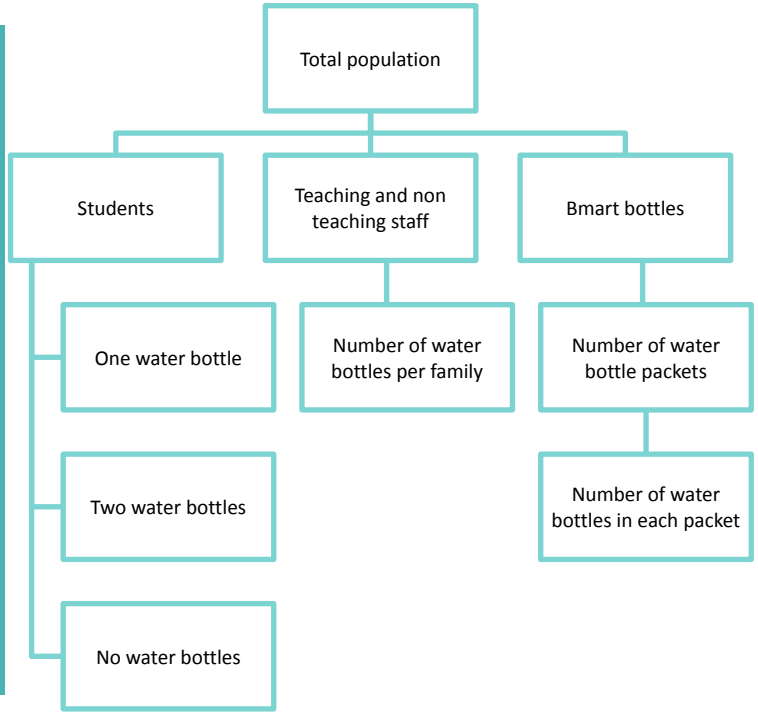
Total students = 700 (400 in the first year and 300 in the second year)
Assume number of students carrying one, two and no bottles as follows:

75% with one bottle => 500 bottles approximately
20% with 2 bottles => 250 bottles approximately

Assuming there are 80 teaching and non-teaching staff with their families, with each family containing 2 bottles each => 80 * 2 = 160 bottles
Bmart bottles: 10 * 6 = 60 bottles

Total water bottles = 500 + 250 + 160 + 60 = **970 water bottles**

FLOWCHART



GUESSTIMATE- 4

Problem Statement: Estimate the total number of Instagram users in India

APPROACH

Assumptions:
In this guesstimate, we want to estimate the number of Instagram users and not the number of Instagram accounts. Hence only one account per user is considered. Also the official pages or fan/meme pages are not considered.

Here we first divide the nation's populations based on 3 different age groups: 0 - 25, 25 to 40, 40+ years

As most of the people within 0 to 25 years tend to use Instagram more, followed by 25 to 40 years, and 40 + years age groups, we can safely assume the percentage of instagram users, as shown in the calculations.

CALCULATIONS

Total population of the country = 140 crores.

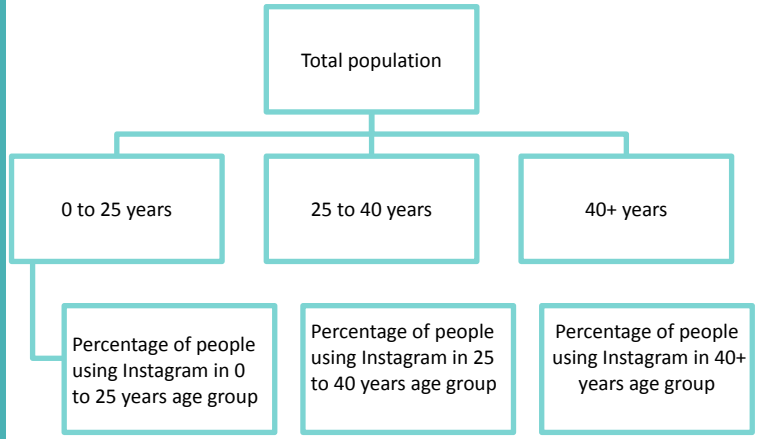
Bifurcating the population of the country based on age groups:
0 to 25 years -> 45 crores
25 to 40 years -> 50 crores
40+ years -> 45 crores

Approximate percentage of instagram users in each age group
0 to 25 years -> 45%
25 to 40 years -> 35%
40+ years -> 5 to 8%

The approximate values of the calculations are 20 Cr, 17 Cr, 3 Cr respectively.

Total instagram users in India = **40 Cr**

FLOWCHART



GUESSTIMATE- 5

Problem Statement: How much electricity will be consumed by an apartment per day?

APPROACH

Considering economically middle class and upper middle class stays in apartments. All the flats were occupied.

All Basic amenities used by families in apartments.

Assuming 5 floors - each floor has 6 flats.
Considering all portions are 2bhk flat (Living Room, 2 Bedrooms, 2 Bathrooms & 1 Kitchen)

Average Electricity consumption
(Light - 0.1, Fan - 0.2, AC - 4, Mixer - 1, Water Pump - 6, TV - 0.5, Washing machine - 2, Lift - 10) KWH per day.

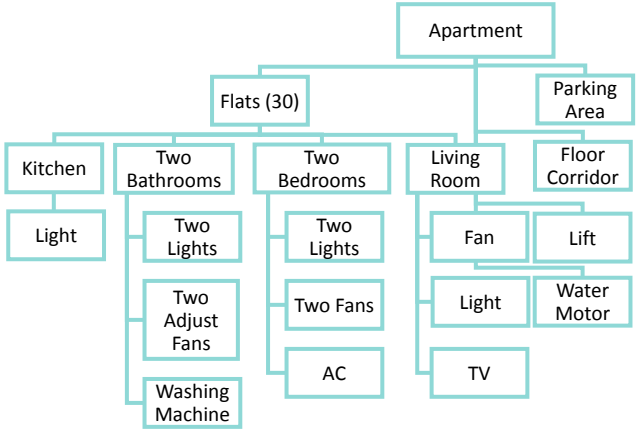
CALCULATIONS

Total Lights = (Kitchen Light + Bathroom Light + Bedroom + Living Room) * Total Flats + Parking + Floor Corridor = (1 +2 + 2 + 1) * 30 + (35 + (3*5)) = 230 Lights = 230 * 0.1 Kw = 23 kWH
Total Fans = (Bedroom + Living Room) * Total Flats = (2 + 1) *30 = 90 * 0.2 = 18 kWH

Total Ac Consumption (30 Ac's), Total Mixer (30), Total water Pump, Total Washing Machine, Total Lift Consumption, Total Tv = 120 kWH, 30 kWH, 6 kWH, 60 kWH, 10 kWH, 15 kWH

So, Total = 23 + 18 +120 + 30 + 6 + 60 + 10 + 15 = **282 kWH per day**

FLOWCHART



GUESSTIMATE- 6

Problem Statement: How much water is used in IIM Raipur for a day?

APPROACH

Assumptions:
Number of People on campus Students - 730, Faculty – 50, Other workers inside the campus - 100

Type of Activities inside the campus Daily activities, Gardening, Swimming Pool, Drinking Water, Cooking, Cleaning and other Miscellaneous

The campus is 200 acres if we just assume 50 acer is a garden and the rest is constructed

Considering Daily activities (Bathing, washing, etc.) - 2 buckets for each person (30 Liters), 50000 Lts for swimming, 500 Liters (cooking).

CALCULATIONS

Daily activities of each person = 880*30 = 26400 Liters

Gardening – 500 Liters per acer = 500*50 = 25000 Liters

Swimming Pool = 50000 Liters

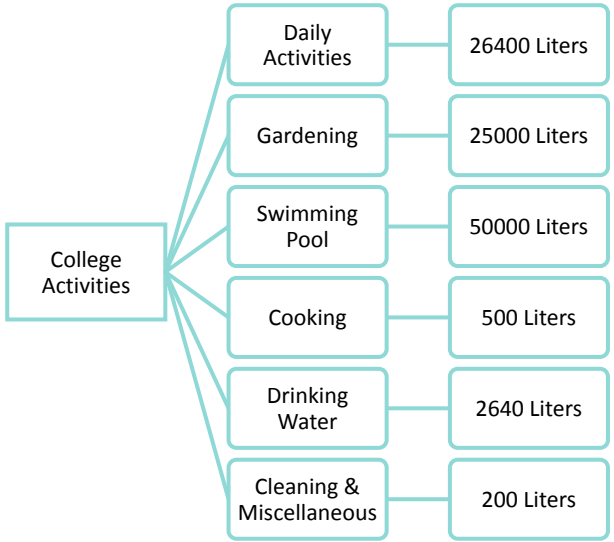
Drinking Water – 3 Liters per person = 3*880 = 2640 Liters

Cooking – 500 Liters Avg

Cleaning and other Miscellaneous = 200 Liters

So, Total = 26400 + 25000 + 50000 + 2640 + 500 + 200 = **104,740 Liters**

FLOWCHART



GUESSTIMATE- 7

Problem Statement: How many taps are being used in an Indian town?

APPROACH

Clarify which segments are to be included (Domestic or Commercial) as their consumption patterns are very different. In this case, focus only on domestic.
Within the Rural segment, interviewees may consider adjusting for homeless people.
So, in a typical Indian town, we are considering one bathroom average per house.

Total Population in town - 30,000
Considering the joint families and nuclear families average household size is 6
1 bathroom per house (2 Taps per Bathroom)

CALCULATIONS

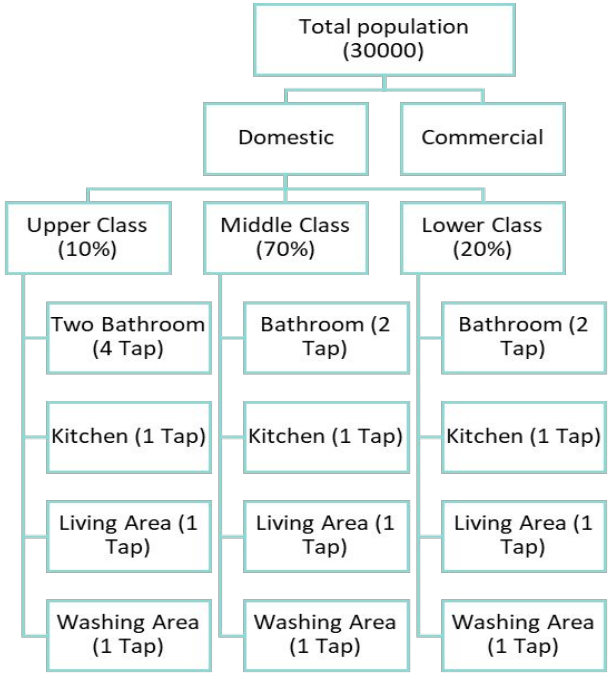
So, No of Houses = Total Population / No of Persons for a Household = 30000 / 6 = 5000, So Number Of Houses is 5000

Upper Class = (No Of Houses * 10%) * (No of taps in bathroom, kitchen, living area & washing area) =(5000 * 10/100) * (4+1+1+1) = 3500

Middle Class = (No Of Houses * 70%) * (No of taps in bathroom, kitchen, living area & washing area) = (5000 * 70/100) * (2+1+1+1) = 17,500

Lower Class = (No Of Houses * 20%) * (No of taps in flat) = (5000 * 20/100) * (2+1+1+1) = 5000
Total = 3500 + 17500 + 5000 = **26,000**

FLOWCHART



GUESSTIMATE- 8

Problem Statement: How many cricket balls can fit inside a cupboard?

APPROACH

Assumptions:

Diameter of cricket ball
= 2.8 inches

Dimensions of cupboard
= 35 x 24 x 25 inches
Cupboard is empty.

We need to consider that in a regular arrangement of spheres there are empty spaces as the spheres do not fit perfectly together.

It is assumed that a sphere covers 70% of a cube when packed.

CALCULATIONS

Going forward the with the assumption, we have

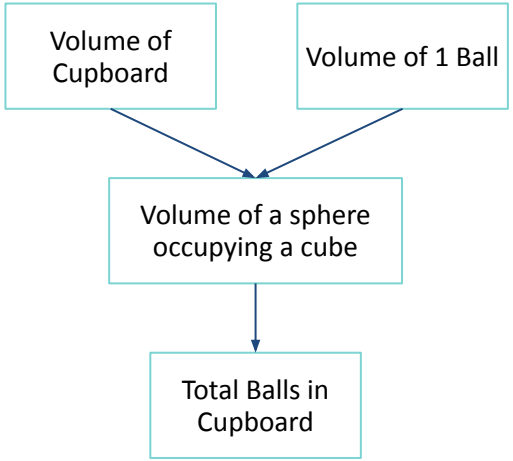
Volume of 1 ball = (4/3)*3.14*(1.4^3) = 11.49 sq inch

Volume of cupboard = 35x24x25 = 21,000 sq inch

Total cricket balls = 21,000 / 11.49 = 1827

The total number of balls in cupboard = 70% * 1827
= **1279 balls**

FLOWCHART



GUESSTIMATE- 9

Problem Statement: How many ATMs are there in Raipur?

APPROACH

Assumptions:

Total population of Raipur = 1.8 million
Considering the number of people above 60 years of age using ATMs is negligible for simplicity.

Percentage of the working population i.e. 18-60 years old is 75% of the total population 90% of this population group owns a bank account.

20% of the population having bank accounts are of the high income group. All of them have ATM cards.

80% of the population having bank accounts are of the low/middle income group. 75% of them have ATM cards.
1 ATM caters to 1000 people.

CALCULATIONS

Total population of Raipur = 1.8 million
Working population i.e. 18-60 years old = 75% * 1.8 million= 1.35 million

Population with Bank accounts = 90% * 1.35 million= 1.215 million

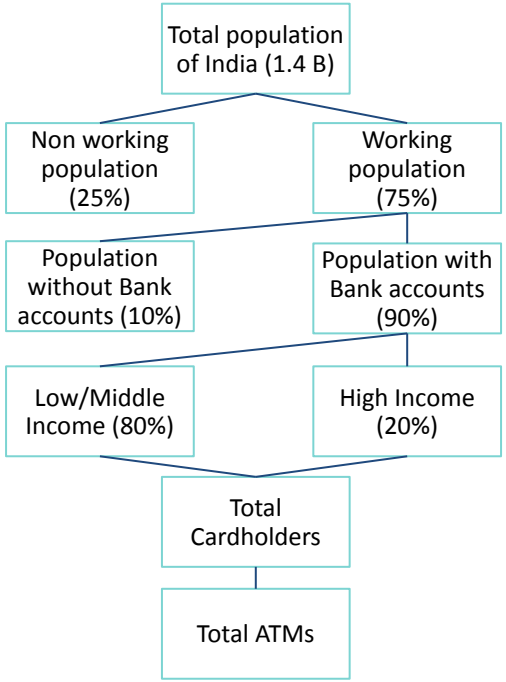
High income population having ATM cards = 20% * 1.215 million= 2,43,000

Low/Middle income population having ATM cards= 75 * 80% * 1.215 million= 7,29,000

Total Cardholders = 2,43,000 + 7,29,000 = 9,72,000

Total number of ATMs = (9,72,000/1000) = **972 ATMs**

FLOWCHART



GUESSTIMATE- 10

Problem Statement: How many iPhones are currently being used in India?

APPROACH

Assumptions:

All iPhones put together are being talked about
The population above the medium income group is capable of purchasing an iphone, this includes 5% of the population for simplicity
Only people who have attained a working age and are under the age of retirement own an iPhone (this removes 20% of the population as children and 20% as senior citizens)
a fair assumption would be that 50% of the eligible population from the previous filter owns an iPhone (people must be purchasing other brands as well)

CALCULATIONS

Total population capable of purchasing an iphone:

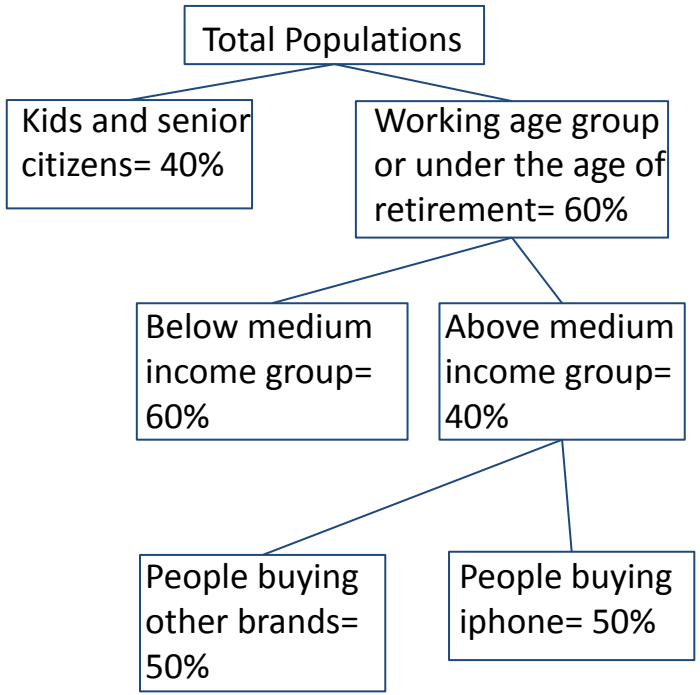
People who have attained a working age and are under the age of retirement own an iphone= 60% or 0.6

Fair assumption that only 40% of the eligible population would be buying iphone= 50% or 0.5

India's total population= 1.4 billion or 140 crore

Calculation= 0.6 * 0.4 * 0.5 * 140,000,000 = **1,68,00,000 iphones** are currently used in India.

FLOWCHART



GUESSTIMATE- 11

Problem Statement: Annual Fuel Consumption of a Delivery Trucks in a company in a year

APPROACH

Assumptions:

A company owns a fleet of 40 delivery trucks
Average Daily Distance traveled by a truck is 240 km/ day
No of days of operation in a week be 5 days
Then, no of days of operation in a year will be 270 days
Let the fuel efficiency of trucks be 5 km/liter
Let's assume the average fuel price as Rs.100 per liter

Consider a 20% fluctuation in operations caused by severe weather conditions, leading to situations where trucks cannot carry out product deliveries.

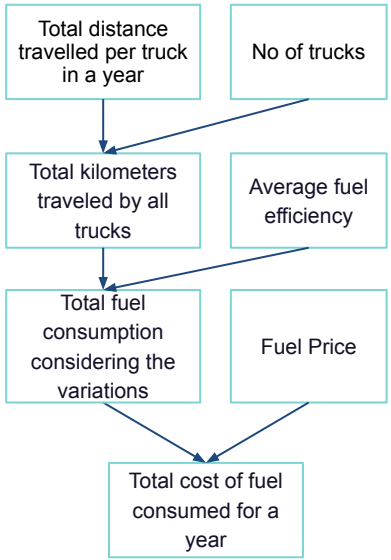
CALCULATIONS

Total Kilometers traveled per year per truck= Average daily distance × Days in a year = 240 * 270 = 64800 km
Total kilometers traveled by all trucks = Total kilometers per truck × Number of trucks = 64800 km × 40 trucks = 2592000 km
Total Fuel consumption for all trucks in a year = Total kilometers traveled/ Average fuel efficiency = 2592000/5 = 518400 liters

Total Fuel Cost = Total fuel consumption × Fuel price = 518400 * 100 = 5,18,40,000 Rs

Cost change due to 20% variation in operation due to extreme weather conditions= 5,18,40,000 * 0.2 = 1,03,68,000 Rs
Total cost of fuel consumed for a year = 5,18,40,000 - 1,03,68,000 = **Rs 4,14,72,000**

FLOWCHART



Final Solution:
Total cost of fuel consumed for a year = **4,14,72,000 Rs**

GUESSTIMATE- 12

Problem Statement: What is the monthly revenue of your favourite restaurant?

APPROACH

Assumptions:

The restaurant is open 30 days a month

It's a small family restaurant with a seating capacity of around 50 people

Average footfall at lunch time is around 35 and at dinner is 45

A typical lunch order is around Rs.500 per person on a table and dinner order is Rs. 1000 per person on a table

CALCULATIONS

Days of the week in which the restaurant is open x Average footfall for lunch x Average expenditure per client during lunch

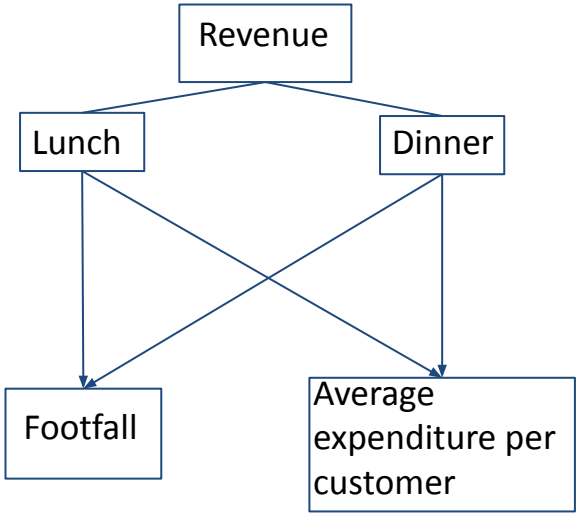
= 30(days)*35(lunch footfall) *500= Rs. 5,25,000/-

Days of the week in which the restaurant is open x Average footfall for dinner x Average expenditure per client during dinner

= 30(days)*45(dinner footfall) *1000= Rs. 13,50,000/-

Total monthly revenue of the restaurant = **Rs. 18,75,000/-**

FLOWCHART



GUESSTIMATE- 13

Problem Statement: What is the daily revenue generated from coffee cups sold by Gyanshilla coffee shop at IIM Raipur?

APPROACH

Assumptions:
Number of machines: 1

Time required to prepare one serving of coffee: 10 seconds

The Gyanshilla coffee outlet runs for 9 hours a day.

Assuming classes run from 9-6 with 2 breaks in between of 15 minutes.

Assuming break time as the peak time with demand of 95% and non peak hours with demand of 5%. Further assume there is no demand post 3 p.m.

Price of coffee (ignoring varieties): 20

CALCULATIONS

No. of coffee servings prepared in 1 hour:

1*3600/10= 360

Coffee servings prepared in peak hour:

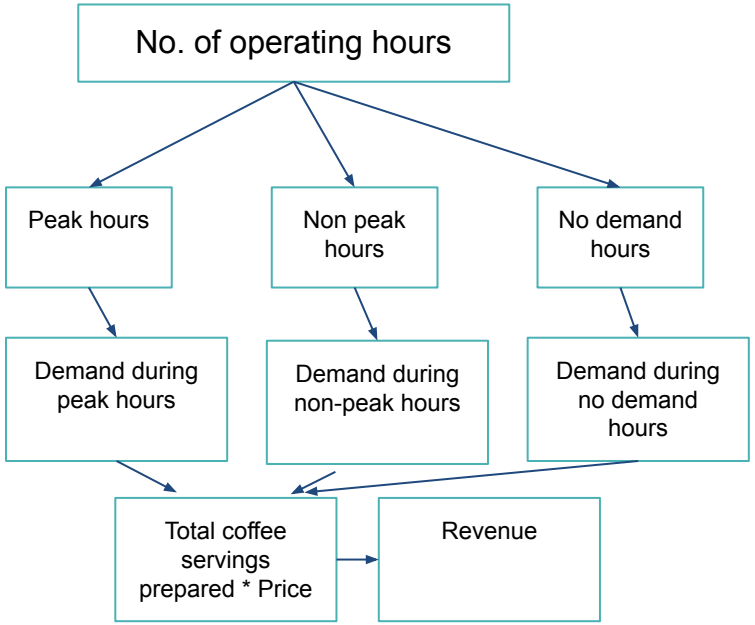
0.95*360*1= 342

Coffee servings prepared in non peak hours: 0.05*360*5= 90

Total Coffee cups prepared: 342+90= 432

Daily revenue= 20*432= **Rs 8640**

FLOWCHART



GUESSTIMATE- 14

Problem Statement: Estimate the number of rice grains in a chicken biriyani.

APPROACH

Assumptions:
Standard Serving Size: The average size of a serving of chicken biryani is 600 grams.

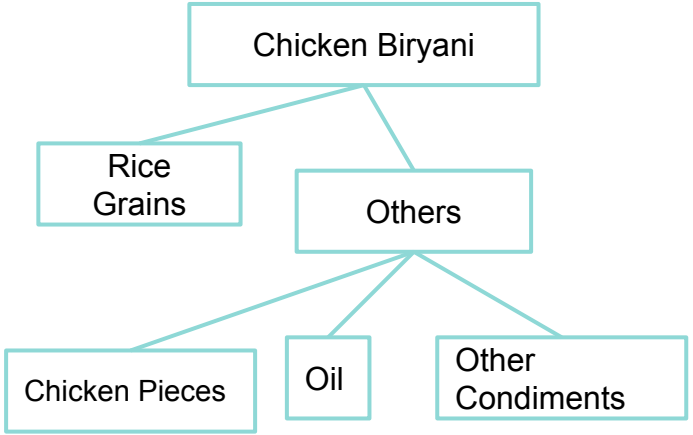
Basmati Rice: We'll continue to assume the biryani is made with Basmati rice.

Average Rice Grain Count: As before, we'll assume an average of 11 rice grains per gram.
Chicken Weight: In a standard serving of chicken biryani, there are approximately 2 pieces of chicken, and each piece weighs around 70 grams.
Oil Weight: We'll maintain the assumption of around 15 grams of oil used in cooking the biryani.

CALCULATIONS

Number of rice grains in 600 gms of Basmati rice = 600 g * 11 grains per gram = 6,600 grains
The total number of rice grains in one piece of chicken= Total number of chicken pieces * weight of one piece = 70 * 2 = 140 g
Total number of grains of rice to be reduced for the weight taken in by the chicken = 140 g * 11 grains per gram = 1540 grains.
Total grains compensated for Oil and others = (15 g +10 g) * 11 grains per gram = 275 grains.
The final number of rice grains in the entire biryani (excluding chicken and oil) =6,600 -1540 -275 = 4730
There are **4730 grains** of rice in one chicken biryani.

FLOWCHART



GUESSTIMATE- 15

Problem Statement: Estimate Annual revenue of Netflix in India

APPROACH

Assumptions

Age group of 16-40 years as the primary target demographic for Netflix subscriptions i.e(considering even distribution) =50% of the total po

Population of India =1.4 bn
Urban population=40%

70% of Urban population have internet access
Market share of netflix =10%

CALCULATIONS

Revenue = Monthly revenue x 12
Monthly Revenue→
Population of India = 1.4bn

Age group of population → 16-40 Years=50% of 1.4bn=700mn
Urban population =40% of 700 mn =280 mn

Population having access to internet in urban population = 70% x 280 =196 mn

No. of urban people subscribing netflix with access to internet= 10% of 196 mn=20mn

FLOWCHART

Plan	No. of users allowed streaming	No. of users due to password sharing
Rs.149(Mobile)	1	2
Rs.199(Basic)	1	2
Rs.499(Standard)	2	4
Rs.649(Premium)	4	8

Avg Plan=(150+200+500+650)/4=370
Avg no. of users = (2+2+3+8)/4=4
Monthly Revenue= 370 x (20 mn/4)
=Rs. 1850 mn
Yearly = 12x 1850
=Rs .22200 mn
=Rs.2220 Crore

STRENGTHENING YOUR TOOL-KIT

Datasheets

A collection of information that can be used to resolve guesstimates. Although the majority of these figures are estimates, they should be adequate for a best-guess scenario.

Table 1: Population Distribution in India (Gender and Urban-Rural)

Total Population	1420
Males	733
Females	686
Sex Ratio	93.8%*
Urban Population	500 (35%)
Rural Population	920 (65%)

Figures are in millions
* 938 females for 1000 males

Table 2: Life Expectancy and Population Growth Statistics

Overall Expectancy	70.2
Male Expectancy	69.4
Female Expectancy	72.7
Birth Rate	17.4
Death Rate	7.4
Population Growth Rate	0.01

Figures are for every 1000 individuals

Table 3: Age-wise Population distribution

Age Group	Population(%)
0-14 Years	360 (26%)
15-24 Years	250 (18%)
25-34 Years	230 (17%)
35-44 Years	200 (14%)
45-54 Years	140 (10%)
55+ Years	208 (15%)

Figures are for every 1000 individuals

Table 6: Population spread of Metros

City	Population
1. Mumbai	21
2. Delhi	20
3. Kolkata	15
4. Bengaluru	13
5. Chennai	11.5
6. Hyderabad	10.5
7. Ahmedabad	8.5
8. Surat	8
9. Pune	7
10. Raipur	1.8

Population residing in
Top 10 cities ~ 120M
Top 50 cities ~ 205M
Top 100 cities ~ 240M

Table 4: Income and Expenditure

Data Head	India	Urban	Rural
Size of Household	5	5	5
Household Income (in Rs)	200000	270000	170000
% Savings	25%	30%	22%
Expenses (Food)	50%	45%	55%
Expenses (Travel)	10%	8%	13%
Expenses (Others)	40%	47%	32%

Poverty: ~10% Population lives below the poverty line (~$2 or Rs. 150)

Table 5: Class Distribution by Annual Household Income

Annual Household Income	Percentage
Low Income Households (Less than 1,00,000)	10%
Lower middle Income (1,00,000 to 2,00,000)	40%
Middle Income (2,00,000 to 5,00,000)	40%
Upper Middle Income (1,00,000 to 2,00,000)	9%
High Income Households (More than 10,00,000)	1%

INDUSTRY OVERVIEW

FMCG

CONSULERE
The Consulting Club
IIM Raipur

Overview

The FMCG industry in india is the fourth largest sector in the economy. It is expected to reach US $615.87 billion by 2027 growing at a CAGR OF 27.9%. The industry is driven by growing disposal income and changing lifestyle and consumer patterns.

INDUSTRY METRICS

INDUSTRY SIZE	Valued at US $56.8 billion (2022); Food & Bev: US $31.8 bn; Personal Care: US $13.5bn; Home Care: US $9.5 bn
MAJOR PLAYERS	Hindustan Unilever. Nestle, ITC, Emami, Dabur, Procter & Gamble, Coca Cola, Marico
GROWTH RATE	Expected to grow at a CAGR of 27.9% in the next five years.
CHARACTERISTICS	Highly fragmented, with a small and medium-sized players. Facing challenges like inflation, competition, etc.
TERMINOLOGY	Fast-moving consumer good, Total addressable market, Niche market, Serviceable addressable, market

MARKET TRENDS

> Supply chain digitization
> Emerging D2C
> PLI scheme
> 100% FDI in cash and carry segment and single brand retail; 51% in multi brand retail

KPI

> Sales Growth
> Market Share
> Profitability
> Brand Equity
> Customer satisfaction
> Employee satisfaction
> Innovation & sustainability

KEY DRIVERS

> Rising disposable income
> Growing organization
> Changing lifestyle
> Increasing awareness about health and hygiene
> Expansion of e commerce

SCOPE & RISKS

Scope: Growth of rural market, personalization, health and wellness, use of technologies
Risks: Rising inflation, natural disaster, increasing competition and changing consumer preferences

REAL ESTATE

CONSULERE
The Consulting Club
IIM Raipur

Overview

It comprises of sub-sectors- housing, retail, hospitality and commercial. Real Estate sector is the second highest employment generator. According to IBEF, real estate sector in India is expected to reach US $1 trillion in market size by 2030. By 2025, it will contribute 13% to the country's GDP.

INDUSTRY METRICS

INDUSTRY SIZE	US $ 200 Billion (2021) CAGR is expected to be around 19.5% (2017-2028)
MAJOR PLAYERS	DLF, Prestige, NBCC, India Bull, Omaxe, Godrej, Phoenix Mills, Unitech
GROWTH RATE	Expected to increase by 15-18 mn sq. feet by 2025 Luxury Residential market to scale by 151%
CHARACTERISTICS	Cyclic, Influenced by demographics, environment & sustainability, Location dependent
TERMINOLOGY	Loan to value ratio, downpayment, yield, mortgage, Prime lending rate, amortization

MARKET TRENDS

> Industry size in India is forecasted to reach US$ 650 billion (13% of GDP)
> RBI policy low home loan interest rates regime, Affordable Rental Housing Complexes (AHRCs), 100% FDI for townships and settlements development projects.

KPI

> Home Loan Rates
> Rera Compliance
> Property Registration
> Land Price Index
> Occupancy Rate
> Return on Equity
> Gross Rent Multiplier

KEY DRIVERS

> Growth in population
> Rapid Urbanization
> Demand for office space in tier II cities
> Easy availability of finance.
> Robust domestic tourism industry.
> Tax incentives for hotels

SCOPE & RISKS

Scope: Sustainable and Green Buildings,Smart Technology Integration: Co-living and Co-working Spaces:Blockchain in transactions
Risks: Inflation levels projected to increase,monetary policy tightening supply chain disruptions

IT & BPM

Overview

The industry is the key driver of the Indian economy, contributing 7.4% of GDP in FY22. It is well-diversified across verticals such as BFSI, telecom, and retail, and is well-represented globally with Indian IT firms having delivery centers all over the world.The industry is estimated to be worth US$ 245 billion in FY23.

INDUSTRY METRICS

INDUSTRY SIZE	Estimated to be worth US$ 245 billion in FY23. To grow at a CAGR of 8-9% in the next few years.
MAJOR PLAYERS	TCS, Infosys, HCL Technologies, Cognizant, IBM, Accenture, Wipro
GROWTH RATE	Revenue expected to show CAGR 2023-2028 of 13.97%, resulting in a market volume of US$43.09bn by 2028.
CHARACTERISTICS	knowledge-intensive industry highly skilled workforce export oriented, constantly evolving
TERMINOLOGY	Cloud Computing, Cybersecurity, Machine Learning, Blockchain, DevOps, SDLC (Software Development Life Cycle)

MARKET TRENDS

> Increasing adoption of cloud computing,
> Growing IoT,
> Rise of AI and ML,
> Demand for cybersecurity services

KPI

> Revenue growth,
> Profitability,
> Customer satisfaction,
> Employee satisfaction,
> Innovation,
> Market share

KEY DRIVERS

> Increasing demand for digital services from businesses and consumers,
>Digitalization,
> Growth of AI and ML
> Expansion of the Indian market into newer sectors

SCOPE & RISKS

Scope: Expected to grow with increasing digitalization and evolving technologies

Risks: Increasing competition from other countries,shortage of skilled workers, volatility of the global economy,changing regulatory landscape

BFSI

Overview

The Indian banking sector is the third-largest in the world by market capitalization, with a compounded annual growth rate (CAGR) of 11% between 2015 and 2020. The Indian banking sector is dominated by public sector banks (PSBs), which account for about 70% of the total banking assets.

INDUSTRY METRICS

INDUSTRY SIZE	Total assets: US $2.4 trillion Total Deposits: US $2 trillion Total Loan: US $1.7 trillion
MAJOR PLAYERS	State Bank of India, ICICI Bank HDFC Bank, Bank of Baroda, Axis Bank Punjab National Bank
GROWTH RATE	The Indian banking sector is expected to grow at a CAGR of 8%-10%
CHARACTERISTICS	Regulated sector; RBI: regulates interest rates, lending, deposit rates, monitors the financial health of banks.
TERMINOLOGY	PSBs, Private sector banks, NBFCs, Fintech companies

MARKET TRENDS

> Growth of digital banking
> Rise of fintech companies
> Increasing focus on financial inclusion
> Growth of the SME sector

KPI

> Profitability
> Return on equity (ROE)
> Return on assets (ROA)
> Non-performing assets (NPAs)
> Capital adequacy ratio (CAR)
> Liquidity ratio

KEY DRIVERS

> Growth of the Indian economy.
> Rising digital banking
> Development of new financial products and services
> Increasing demand for credit

SCOPE & RISKS

Scope: Expected to grow with increasing financial inclusion of the population, rise of digital banking.
Risks: High levels of non-performing assets (NPAs), Low profitability, Rising competition from NBFCs and fintech companies, Regulatory challenges

HEALTHCARE

Overview

The Indian healthcare sector is one of the largest in terms of revenue and employment. It encompasses hospitals, medical devices, clinical trials, outsourcing, telemedicine, medical tourism, health insurance, and medical equipment.

INDUSTRY METRICS

INDUSTRY SIZE	Revenue projected to reach US$516.60m in 2023; CAGR 2023-2027 of 10.36%.
MAJOR PLAYERS	Apollo Hospitals, Fortis Healthcare, Dr. Reddy's Labs, Sun Pharmaceutical Industries
GROWTH RATE	Growing at a CAGR of 22%, driven by rising income, health awareness, and increased access to insurance.
CHARACTERISTICS	Complex and fragmented; Competitive advantage because of well trained medicos, cost competitiveness
TERMINOLOGY	EMR, EHR, PHI, ICD-10, CPT, HIPAA

MARKET TRENDS

> Aging population driving demand for healthcare
> Increasing prevalence of chronic diseases
> Rise of digital healthcare
> Growth of medical tourism

KPI

> Number of patients treated
> Quality of care provided
> Cost of care
> Satisfaction of patients and providers

KEY DRIVERS

> Aging population.
> Increasing prevalence of chronic diseases.
> Rise of digital healthcare.
> Growth of medical tourism.

SCOPE & RISKS

Scope: Development of new technologies: artificial intelligence and gene therapy and increasing focus on preventive care

Risks: High healthcare costs
Increasing prevalence of antibiotic resistance
Shortage of healthcare workers

TELECOM

CONSULERE
The Consulting Club
IIM Raipur

Overview

The telecom industry in India is the second largest in the world, with a subscriber base of 1.17 billion as of September 2022. The industry is growing rapidly with increasing demand for data, the launch of 5G services, and govt introduced production-linked incentive (PLI) scheme.

INDUSTRY METRICS

INDUSTRY SIZE	Valued at US$ 150 billion. Grows at a CAGR of 10% over the next five years.
MAJOR PLAYERS	Reliance Jio ,Bharti Airtel, Vodafone Idea, BSNL, MTNL
GROWTH RATE	Expected to grow from USD 44.43 bn 2023 to USD 69.62 bn by 2028, at a CAGR of 9.40% during 2023-2028
CHARACTERISTICS	Highly competitive industry, fragmented, capital-intensive, prone to disruption, regulated
TERMINOLOGY	Digital Subscriber line, Ethernet, IP, LTE, 4G, 5G Cellular Network, Radio wave

MARKET TRENDS

> Demand for data is increasing rapidly with use of smartphones and the internet
> Launch of 5G services
> Government is supporting the growth of the telecom industry with PLI scheme.

KPI

> Subscriber
> Growth
> Data traffic
> Revenue
> Profitability

KEY DRIVERS

> Increasing demand for data
> Launch of 5G services
> Government policies

SCOPE & RISKS

Scope: Grow rapidly in the coming years, driven by factors: increasing demand for data and the launch of 5G services.
Risks: Rising costs could impact the profitability of the industry.
Competition from new entrants

MANUFACTURING

Overview
The manufacturing industry in India plays a crucial role in the country's economic growth and development. It encompasses various sectors such as automobiles, electronics, pharmaceuticals, textiles, steel, and more. The sector contributes significantly to GDP, employment and export revenues.

INDUSTRY METRICS

INDUSTRY SIZE	With 17% of the nation's GDP and over 27.3 million workers,
MAJOR PLAYERS	Tata Group,Reliance Industries Limited, Maruti Suzuki India Limited
GROWTH RATE	The potential to export goods worth US$ 1 trillion by 2030
CHARACTERISTICS	Significant contributor to GDP Major Employment generator.
TERMINOLOGY	Make to Order Agile manufacturing Automation

MARKET TRENDS

> Export driven expansion
> Motherboard manufacturing
> Industrial Internet Of Things(IIOT) and Industry 4.0
> Sustainability

KPI

> On time Delivery
> Total Cycle Time
> Capacity Utilization Rate
> Throughput
>Labor productivity

KEY DRIVERS

Efficient supply Chains,
cost-effectiveness,
design-oriented approaches,
and technological advancements

SCOPE & RISKS

> 100% FDI through automatic route under FDI policy.
> National Logistics Policy launched
> Ministry of Defense target of achieving a turnover of US$ 25 million in defense Manufacturing by 2025

Meet our Team

Athul Manoj M | Garima Mahajan | Ishita Bhatia | Koushik M | S Karthik | Nakul Sharma | Nancy Verma | Rashi Trivedi | Sona K | Tapish Gupta

Best of Luck!

For any queries reach out at:

@consulere_iimraipur

Consulere- the Consulting Club, IIM Raipur

© 2023, Consulere, the Consulting Club, IIM Raipur